APPRAISAL REPORT

OFFICE / WAREHOUSE

210 W 57th St
Odessa, TX 79764

CLIENT

Kirk's Machine Works
Jim Kirk

AN *APPRAISAL REPORT OF:*

THE PROPERTY LOCATED AT:
210 W 57th St, Odessa, TX 79764

AS OF:

12/02/2025

PREPARED FOR:

Jim Kirk
Kirk's Machine Works

PREPARED BY:

Deanna Peden
Basin Appraisals, LLC
Odessa, Texas 79765

LETTER OF TRANSMITTAL

BASIN APPRAISALS, LLC
DEANNA PEDEN
3106 San Jose Drive
ODESSA, TEXAS 79765
Phone 432/550-5588 Cell 432/352-2508
Deanna.basinappraisalsllc@gmail.com

12/17/2025

Jim Kirk
210 W 57th St, Odessa, TX 79764

Re: 210 W 57th St | LAKEVIEW W 176.6 OF E 476.6 OF TRACT 42

Dear Jim Kirk, Kirk's Machine Works,

As requested, an *Appraisal* has been made on the above referenced property in Odessa, Texas. The value obtained is for the property "As Is". It is not contingent upon any renovations or repairs. The purpose of this appraisal is to give you an estimated Market Value of the Leased Fee Estate of the subject property as of 12/02/2025. A cursory inspection of the subject premises, as well as an analysis of relevant data such as local market trends, pertinent land and whole property sales, if available, and supply/demand demographics has been made. This appraisal has been communicated in a Narrative Summary Appraisal Format.

This appraisal was performed in accordance with the requirements of the Uniform Standards of Professional Appraisal Practice that were in place at the time this appraisal was prepared. Non-realty items were not included in the value estimate. The estimated Market Value of the Leased Fee Estate, separately, **surface only**, is as follows:

ONE MILLION ONE HUNDRED EIGHTY-TWO THOUSAND DOLLARS

($1,182,000 R)

The value estimate assumes that there is no contamination resulting from the drill sites near the property or other previous or current property usage.

I have no current or contemplated interest in the Subject Property. The payment of the fee for services rendered herein is not contingent upon a predetermined value of the Subject Property.

I appreciate the opportunity to serve you in the preparation of this appraisal report. If there are any questions regarding this letter, please do not hesitate to contact me.

Sincerely Yours,

Deanna Peden

Deanna Peden
State Certified General
Real Estate Appraiser
No. TX-1338135-G

TABLE OF CONTENTS

LETTER OF TRANSMITTAL....2
TABLE OF CONTENTS....4
SUMMARY OF SIGNIFICANT FACTS AND CONCLUSIONS....7
EXTRAORDINARY ASSUMPTIONS....9
HYPOTHETICAL CONDITIONS....9
QUALIFICATIONS OF DEANNA PEDEN....10
SUBJECT PHOTOS....12
DEFINITION OF THE PROBLEM....19
PROPERTY IDENTIFICATION....20
PURPOSE OF THE APPRAISAL....20
DEFINITION OF MARKET VALUE....20
EXPOSURE TIME....21
PROPERTY RIGHTS APPRAISED....21
INTENDED USER OF THE APPRAISAL....21
INTENDED USE OF THE APPRAISAL....22
SCOPE OF WORK / APPRAISAL PROCESS....22
DEFINITIONS AND APPLICABILITY OF EACH APPROACH....23
SIGNIFICANT APPRAISAL DATES....24
EFFECTIVE DATE OF THE APPRAISAL....24
DATE OF REPORT....24
GENERAL ASSUMPTIONS AND LIMITING CONDITIONS....25
GENERAL DATA....29
MARKET AREA / NEIGHBORHOOD ANALYSIS....30
Neighborhood Analysis....30
Market Area....33
NEIGHBORHOOD MAP....42
SUBJECT PROPERTY ANALYSIS....43
SITE ANALYSIS....44
Location....44
Size and Configuration....44
Topography/Drainage....45
Soil and Subsoil Conditions....45
Zoning....45
Property Taxes....45

Flood Plain....47
Flood Map....48
Utilities and Public Services....49
Easements and Encroachments....49
Subject Property Development....49
OWNERSHIP / SALES HISTORY....52
Summary and Conclusion....52
BUILDING SKETCH....53
HIGHEST AND BEST USE / MARKET ANALYSIS....54
Site As Vacant....55
Site As Improved - Primary Site....56
SUBJECT PROPERTY VALUATION....57
VALUATION PROCESS....58
COST APPROACH TO VALUE....58
SALES COMPARISON APPROACH....58
INCOME APPROACH....59
SALES COMPARISON APPROACH - LAND VALUE ESTIMATE....60
COMPARABLE LAND SALES SUMMARY CHART....67
Discussion of Land Sales....67
LAND SALES ADJUSTMENT CHART....71
Comparable Land Sales Adjustments Summary....72
COMPARABLE LAND SALES MAP....73
THE COST APPROACH....74
Depreciation....74
Accrued Depreciation Definitions....75
Accrued Depreciation Application....76
Improvement Cost Estimation via Swift Estimator....77
COST APPROACH SCHEDULE....78
SALES COMPARISON APPROACH....79
COMPARABLE SALES SUMMARY CHART....85
Discussion of Improved Sales....85
Land to Building Ratio....88
SALES ADJUSTMENT CHART....90
Comparable Sales Adjustments Summary....91
COMPARABLE SALES MAP....92
INCOME CAPITALIZATION APPROACH....93
INDUSTRIAL RENTAL SUMMARY CHART....99
INCOME APPROACH SCHEDULE....104
OVERALL CAPITALIZATION RATES....105
EXPENSE VERIFICATION....106
Rentals Map....107

RECONCILIATION..... 108
RECONCILIATION AND FINAL VALUE ESTIMATE..... 109
CERTIFICATION OF VALUE..... 111
ADDENDA..... 113
APPRAISER CERTIFICATION..... 114
E&O INSURANCE..... 115

SUMMARY OF SIGNIFICANT FACTS AND CONCLUSIONS

Effective Date	12/02/2025
Date of Report	12/16/2025
Purpose of Appraisal	To provide an estimation of Market Value "as is".
Subject Property Information	
Location	210 W 57th St, Odessa, TX 79764
Land Size (AC)	2.54
Building Size (SF)	14,868
Effective Age	30
Additional Improvements	Raw & Caliche Yard 2 septic systems and 1 private water well, 6' Chainlink fence with 3-strand barbed wire top (141 Ft), Rolling Gates (2 @ 22', 1 @ 16'), Pipe + Chainlink Fencing (145 Ft), Concrete Pads (2,907.05 SF), Asphalt Paved Parking (9,380 SF), AC Units (5)
Zoning	None (Inside ETJ)
Highest and Best Use	Commercial
Indicated Property Value via	
Cost Approach	$1,783,000
Sales Comparison Approach	$880,000
Income Approach	$1,725,000
Final Value (Leased Fee Estate)	**$1,182,000**

EXTRAORDINARY ASSUMPTIONS

An extraordinary assumption is defined by the *Uniform Standards of Professional Practice* 2022-2023 Edition, (The Appraisal Foundation, page U-4) as "an assignment specific assumption, as of the effective date regarding uncertain information used in an analysis which, if found to be false, could alter the appraiser's opinions or conclusions." Extraordinary assumptions presume as fact otherwise "uncertain information about physical, legal or economic characteristics of the subject property; or about conditions external to the property, such as market conditions or trends; or about the integrity of data used in an analysis."

Refer to General Assumptions and Limiting conditions. If any data relied upon is incorrect, the appraiser reserves the right to correct. If the incorrect data skews results, the appraiser reserves the right to revise the appraisal.

Information regarding market transactions were obtained through MLS, Deed Records, and telephone/text/email interviews or correspondence with market participants. As Texas is a non-disclosure state, public deed records do not typically reveal sales prices; consequently, the appraiser has relied on these verbal confirmations, presuming their accuracy in the absence of provided documentation.

HYPOTHETICAL CONDITIONS

A hypothetical condition is defined by the *Uniform Standards of Professional Practice* 2022-2023 Edition, (The Appraisal Foundation, page U-3) as "a condition, directly related to a specific assignment, which is contrary to what is known by the appraiser to exist on the effective date of the assignment results, but is used for the purpose of analysis. Hypothetical conditions are contrary to known facts about physical, legal, or economic characteristics of the subject property; or about conditions external to the property, such as market conditions or trends; or about the integrity of data used in an analysis."

None noted.

QUALIFICATIONS OF DEANNA PEDEN

BASIN APPRAISALS, LLC ODESSA, TX 79765

DESIGNATION

State Certified General Real Estate Appraiser - No. TX-1338135-G

EDUCATION

Institution	Location	Degree	Year
Texas Tech University	Lubbock, TX	Master of Science	1987
Texas Tech University	Lubbock, TX	Bachelor of Science	1984
Champions School of Real Estate & Appraisal Institute	Dallas, Houston, San Antonio, Arlington	N/A	N/A

PROFESSIONAL EXPERIENCE

Role	Organization/Location	Duration
General Appraiser	SK Real Estate Appraisal, Hallmark Appraisals Inc., Basin Commercial Appraisals LLC	2005 – Present
Teacher	Ector County Independent School District, Odessa, TX	1989–1992, 1996–1999, 2002–2004
	Loving Municipal Schools, Loving, New Mexico	1992–1993
	Odessa College, Odessa, TX	1991
	Andrews Independent School District, Andrews, TX	1985–1988
Sales Rep.	3M Baker Graphics, Lubbock, TX	1985
Realtor	Sims and Guess Better Homes and Gardens	1995–1996

PROFESSIONAL ORGANIZATIONS

- Association of Texas Appraisers
- Texas Tech Alumni Association

APPRAISAL COURSES

Course Name	Topic
National USPAP Course & Updates	Appraisal Institute's Course 1410N
Basic Appraisal Principles	Appraisal Institute's Courses 100 & 101GR
Basic Appraisal Procedures	Supporting Adjustments: The Journey from…
Basic Income Capitalization	New Construction Essentials: Luxury Homes
General Market Analysis & Highest & Best Use	Measuring 1-4 Unit Residential Properties with ANSI Z765 Standard
Professional's Guide to URAR	Residential Construction and the Appraiser
General Applications	REO Appraisal: Guidelines and Best Practices
Business Practices & Ethics	Manufactured Housing (Synchronous)
Hotel Appraising New Techniques	Focus on FHA Minimum Property Requirements
Land & Site Valuation	Valuation of Residential Solar
Environmental Pollution & Mold	Appraising Complex and Stigmatized Properties
Mortgage Fraud - Appraiser Risk Management	Texas Supervisor – Trainee Course
Appraising 2–4 Family Properties	
Appraising in a Depressed Market	

REPRESENTATIVE APPRAISER CLIENT LIST

- Appraisal Nation
- Community National Bank
- Integrity Appraisal Management
- Mercury Network
- First Basin
- American Momentum Bank
- Patriot Bank
- Frost Bank
- Tejas Bank
- Numerous Individual Clients

SUBJECT PHOTOS

Subject Front

Subject Rear

Street View

Subject Left

Subject Right

Subject Left - Rear View

Street View

Rear Yard

Rear Yard - Raw Land

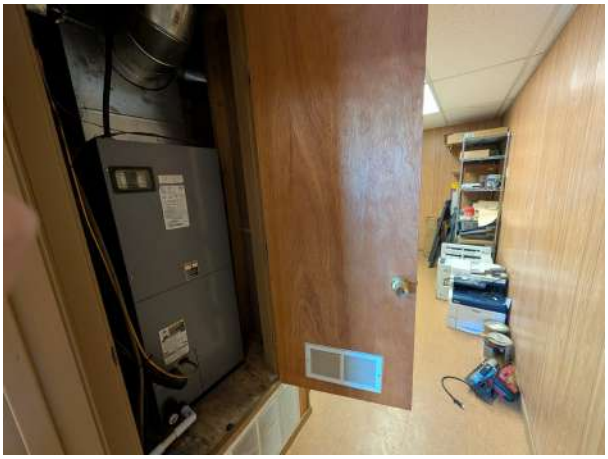
Rear Yard - Raw Land - View 2

Rear Yard - Storage Container

Hallway - Right Entrance

Office / Conference

Office / Conference - File Room

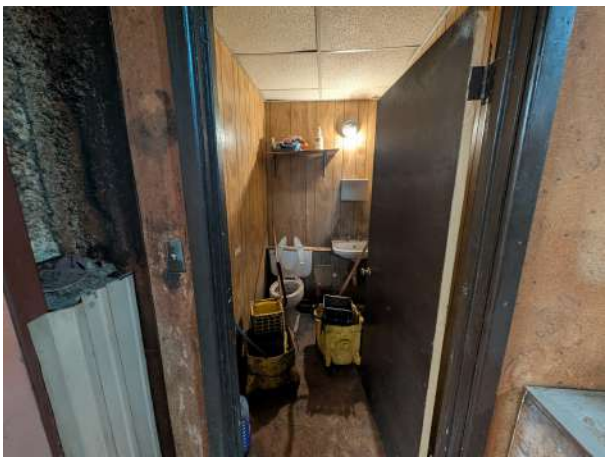


Office / Conference - Storage - HVAC

Locker Room / Restroom

Locker Room / Restroom - Fixtures

Warehouse Entrance from Right Hallway



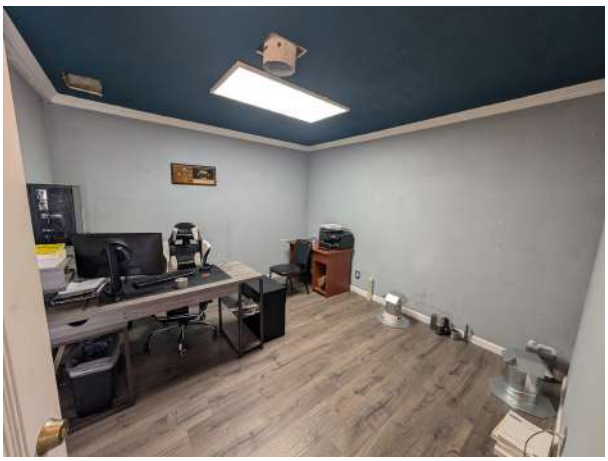
Warehouse Restroom

Front Office - Rear View From Warehouse

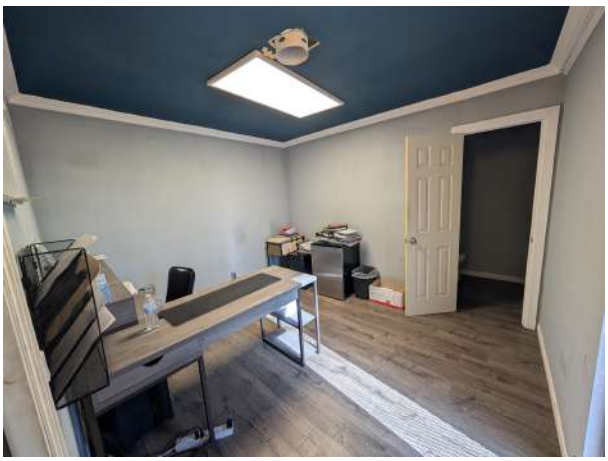
Loft Storage - Above Front Office

Entryway

Reception



Office - Front Left



Office - Front Right

Office Bathroom

Warehouse

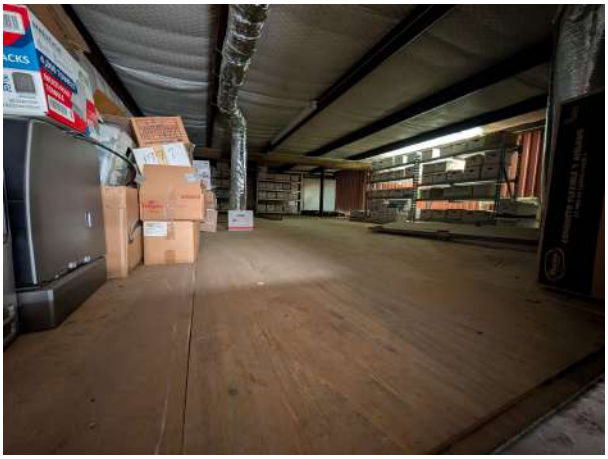
Warehouse

Machine Shop

Machine Shop

Warehouse - Rear

Parts Room



Loft Storage - Above Locker Room and Conference Room

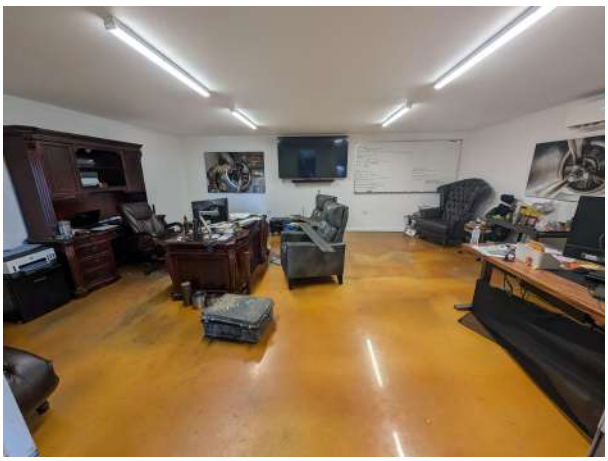
Stairs to Loft Storage

Shop Bathroom

Storage Garage

Warehouse / Shop

Deficiency - Warehouse Ceiling Insulation



Office - Executive

DEFINITION OF THE PROBLEM

PROPERTY IDENTIFICATION

Local Address	210 W 57th St, Odessa, Ector County, TX 79764
Legal Description	LAKEVIEW W 176.6 OF E 476.6 OF TRACT 42
APN	16900.01140.00000

PURPOSE OF THE APPRAISAL

The purpose of this report is to provide an estimation of Market Value of the Leased Fee Estate (as defined below by the Office of the Comptroller of the Currency) of the subject property.

DEFINITION OF MARKET VALUE

Regulations published by federal regulatory agencies pursuant to Title XI of the Financial Institutions Reform, Recovery and Enforcement Act (FIRREA).

The most probable price which a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

1. Buyer and seller are typically motivated;
2. Both parties are well informed or well advised, and acting in what they consider their best interests;
3. A reasonable time is allowed for exposure on the open market;
4. Payment is made in terms of cash in United States dollars on in terms of financial arrangements comparable thereto; and
5. The price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale.

EXPOSURE TIME

"'The estimated length of time the property interest being appraised would have been offered on the market prior to the hypothetical consummation of a sale at market value on the effective date of the appraisal; a retrospective estimate based on an analysis of past events assuming a competitive and open market. Exposure time is always presumed to occur prior to the effective date of the appraisal. The overall concept of reasonable exposure encompasses not only adequate, sufficient and reasonable time but also adequate, sufficient and reasonable effort." (Appraisal Standards Board of The Appraisal Foundation, Statement on Appraisal Standards No. 6, "Reasonable Exposure Time in Real Property and Personal Property Market Value Opinions")' *The Dictionary of Real Estate Appraisal*, Fourth Edition p. 105.

The estimate of market value presumes an exposure time of approximately 3 to18 months under today's market conditions. Quick Statistics show a low of 1 day on the market up to a high of 1075 days on market. The median is 142 days while the average is 184 days on the market. In summary, the current average days on market is around 5-7 months.

PROPERTY RIGHTS APPRAISED

Leased Fee Estate

DEFINITION OF LEASED FEE ESTATE

According to The Dictionary of Real Estate Appraisal, Fourth Edition, published by the American Institute of Real Estate Appraisers, Leased Fee Estate is defined as follows:

"An ownership interest held by a landlord with the rights of use and occupancy conveyed by lease to others. The rights of the lessor (the leased fee owner) and the lessee are specified by contract terms contained within the lease."

INTENDED USER OF THE APPRAISAL

Jim Kirk, Kirk's Machine Works and their assignees. The appraisal has been prepared solely for the use and benefit of the Client and identified intended user(s). No other users are intended or authorized, and no other parties should use or rely on the appraisal or any content in the appraisal for any purpose.

INTENDED USE OF THE APPRAISAL

The purpose of this appraisal is to determine the market value of the subject property for internal decision making for potential sale of the property. No contract was provided and no broker is currently listing the property for sale.

SCOPE OF WORK / APPRAISAL PROCESS

The appraisal process is the orderly program wherein data employed in estimating the value of the subject property is acquired, classified, analyzed, and presented. The first step in the appraisal process involves defining the appraisal problem. This step includes the identification of the real estate, the effective date of the value estimate, the identification of the property rights being appraised and the type of value being sought. Data is then collected and analyzed. Relevant factors affecting the value of the subject property, such as area and neighborhood analyses, site and improvement analyses, and the highest and best use analysis are considered in estimating the property's value. (Appraisals are NOT property inspections.)

Generally, three approaches to value are developed and can be utilized when applicable to each assignment; the Cost Approach, the Sales Comparison Approach, and the Income Approach. The final step in the appraisal process is the reconciliation or correlation of the value indications. In the correlation, the relative applicability and defensibility of each approach is considered; and a final estimate of value is reached.

For this appraisal, all three approaches to value are utilized.

- The **Cost Approach** to value is typically used for new construction and properties which don't have decades of depreciation. This approach was developed for this assignment, despite the subject's age (Built 1982), primarily to isolate the contributory value of specific improvements (such as the 5-ton, 3-ton, and jib cranes) and to utilize the best available land valuation.
- The **Sales Comparison Approach** will be used for the whole property value. This approach is usually the best indication of value for an industrial property of this type and is given the most weight.
- The **Income Approach** to Value will be developed because the subject property is currently encumbered by a lease. While verified lease data is difficult to obtain in a non-disclosure state, sufficient market rental data was gathered to support a credible value conclusion via this approach.

The term "Scope of the Appraisal" refers to the extent of the process of collecting, confirming, and reporting data. As mentioned, the appraiser developed all three approaches to value.

- The **Cost Approach** was developed to include varying components of the property. The land value is added to the cost approach obtained from the Swift Estimator to conclude this approach.
- The **Sales Comparison Approach** was developed for the land value to add to the cost approach to get the whole cost of the improved property. The Sales Comparison Approach was also utilized for the whole property valuation and is deemed the most reliable indicator of market actions.
- The **Income Approach** was developed to reflect the Leased Fee nature of the property. Subject contract rent and market rent data were analyzed to estimate value based on the income-generating potential of the real estate.

DEFINITIONS AND APPLICABILITY OF EACH APPROACH

The *Cost Approach* is a method in which the value is derived by estimating the reproduction or replacement cost “new” of the improvements. These estimates are based on the use of the Marshall/Swift Valuation Service. All applicable forms of depreciation and obsolescence are then estimated and deducted from this cost. The estimates for depreciation and obsolescence are based on observed condition, cost to cure analyses, and abstractions from comparable sales data in the *Sales Comparison Approach.* The resulting depreciated value of the improvements is then added to the market value of the land as derived from the Sales Comparison Approach for the land only.

The *Sales Comparison Approach* is typically used to estimate the value of the excess land parcel, as well as, to estimate the value of the whole property, land and improvements. In applying this approach on a whole property basis, actual sales of similar properties are researched and analyzed. The value is then estimated based upon the pattern of prices being paid and received in the market. The reliability of this approach is directly related to the quantity and quality of available data, and when adequate data are available, the result is usually a credible market value indication.

In the *Income Approach,* value is estimated based on future benefits to be derived from ownership of a property. This method utilizes comparable rentals to forecast the maximum obtainable economic rent. From this, an allowance for vacancy and credit loss and all expenses associated with ownership are deducted in order to estimate the net operating income. The resulting net operating income is then

processed into an indication of value by employing the appropriate capitalization rate. The overall capitalization rate is market oriented being abstracted from comparable sales data.

The final step in the appraisal process involves correlating the valuation techniques into an indication of final market value.

SIGNIFICANT APPRAISAL DATES

EFFECTIVE DATE OF THE APPRAISAL

12/02/2025

DATE OF REPORT

12/17/2025

GENERAL ASSUMPTIONS AND LIMITING CONDITIONS

The appraiser has made this report subject to the following general assumptions and limiting conditions.

1. No responsibility is assumed for legal matters or the legal description, including title or encumbrances, that affect the property appraised. Unless otherwise stated, title to the property is assumed to be good and marketable, and the property is further assumed to be free and clear of any or all liens, easements or encumbrances.

2. Competent property management and responsible ownership are assumed.

3. Information furnished by others, upon which all or portions of this report are based, is considered reliable and believed to be true and correct. It is assumed that all required licenses, certificates of occupancy, consents, or other legislative or administrative authority from any local, state, or national government or private entity or organization have been or can readily be obtained or renewed for any use on which the value estimates contained in this report are based. However, the appraisers give no warranty as to the accuracy of such information.

4. The property areas and dimensions were obtained from sources believed to be reliable. Any maps or sketches may show approximate dimensions and are included only to assist the reader in visualizing the property. The Appraiser(s) have conducted no survey of the property.

5. The assumption is made that there are no hidden or unapparent conditions of the property, subsoil, or structures which would render it more or less valuable. The appraiser(s) assume no responsibility for such conditions or for arranging for engineering studies that may be required to discover such factors.

6. No Appraiser(s) signing or associated with this report shall be required by reason of this report to appear or give testimony in court, unless specific arrangements have been previously made therefore.

7. The allocation, if any, in this report of the total valuation between components of the property applies only to this report's stated program of utilization. The separate valuations for any components may not be applied

for use in conjunction with any other appraisal and are invalid if so used.

8. The appraised value is predicated on the prevailing financial structure as of the date of this report.

9. Full compliance with all applicable federal, state, and local zoning, use, environmental and similar laws and regulations is assumed, unless otherwise stated.

10. Disclosure of the contents of the appraisal report is governed by the bylaws and regulations of the Appraisal Standards Board.

11. This report has been made only for the purpose stated therein and shall not be used for any other purpose. Neither this report nor any portions thereof (including conclusions as to property value, the identity of the Appraiser(s) signing or associated with this report, or the professional associations or organizations with which they are affiliated) shall be disseminated to any third party without the prior written consent and approval of the Appraiser(s).

12. Deanna Peden and/or contracting appraisal company maximum liability relating to services rendered under this report shall be limited to the charges paid to Deanna Peden and/or contracting appraisal company, Basin Appraisals LLC for the portion of its services or work products giving rise to liability. In no event shall we be liable for consequential, special, incidental, or punitive losses, damages, or expenses even if it has been advised of their possible existence.

13. The client shall indemnify and hold harmless Deanna Peden, Basin Appraisals LLC and/or contracting appraisal company and its personnel from and against any claims, liabilities, costs, and expenses brought against, paid, or incurred by Deanna Peden and/or Basin Appraisals LLC. at any time and in any way arising out of or relating to our services under this report. This provision shall survive the termination of this agreement for any reason.

14. This report may not be included or referred to in any Securities and Exchange Commission filing or other public document.

15. No observations or interpretations on compliance with the American with Disabilities Act are made. We are not experts in this field and realize we are not qualified to make such determinations. Our value estimate is predicated

upon the property owner(s) bearing no cost for compliance. There were ADA designated parking places in front of the Credit Union.

16. On all appraisals subject to satisfactory completion, repairs, or alterations, the appraisal report and value conclusion are contingent upon completion of the improvements in a workmanlike manner.

17. It is assumed that the property or properties conform to all applicable zoning and use regulations and restrictions, unless a nonconformity has been stated, described, defined, and considered in the appraisal report.

18. It is assumed that all required licenses, certificates of occupancy, consents, and other legislative or administrative authority from any local, state, or national, government or private entity or organization have been or can be obtained or renewed for any use on which the opinion of value contained in this report is based.

19. The property is appraised free and clear of any or all liens or encumbrances unless otherwise stated.

20. All engineering is assumed to be correct. Any plot plans and illustrative material in this report are included only to assist the reader in visualizing the property.

21. It is assumed that there is full compliance with all applicable federal, state, and local environmental regulations and laws unless noncompliance is stated, defined, and considered in the appraisal report.

22. It is assumed that utilization of the land and improvements is within the boundaries or property lines of the property described and that there is no encroachment or trespass unless noted in the report.

23. The distribution, if any, of the total valuation in this report between land and improvements applies only under the stated program of utilization. The separate allocations for land and buildings must not be used in conjunction with any other appraisal and are invalid if so used.

24. Possession of this report, or a copy thereof, does not carry with it the right of publication. It may not be used for any purpose by any person other than the party to whom it is addressed without the written consent of the appraiser, and in any event only with proper written qualification and only in its

entirety.

25. Neither all nor any part of the contents of this report (especially any conclusions as to value, the identity of the appraiser, or the firm with which the appraiser is connected) shall be disseminated to the public through advertising, public relations, news, sales, or other media without the prior written consent and approval of the appraiser.

26. Unless otherwise stated in this report, we did not observe the existence of hazardous material, which may or may not be present on the property. We have no knowledge of the existence of such materials on, or in, the property; however, we are not qualified to detect such substances. The presence of substances such as asbestos, urea-formaldehyde foam insulation or other potentially hazardous materials may affect the value of the property. The value estimate is based on the assumption that there is no such material on, or in, the property that would cause a loss in value. No responsibility is assumed for any such conditions, or for any expertise or engineering knowledge required to discover them. The client is urged to retain an expert in this field, if desired.

27. The value estimate is based on the assumption that there is no contamination resulting from any drill sites or wells near or on the property if any or other previous property usage. The appraiser is not qualified to make this assessment so you may want to consult an environmental expert in this case if applicable.

GENERAL DATA

MARKET AREA / NEIGHBORHOOD ANALYSIS

According to The Appraisal of Real Estate, 12th Edition, published by the American Institute of Real Estate Appraisers:

> "A neighborhood is a group of complementary land uses, and a district has one predominant land use, whereas the market area within which a subject property competes for the attention of buyers and sellers in the real estate market is the broader term appraisers analyze."
>
> "The term market area refers to an area where market participants live and work. Market area analysis focuses on the four forces – social, economic, governmental, and environmental- that influence value."

The primary goal of the neighborhood analysis is to determine perceivable patterns of growth, structure and change that may detract from or enhance property values. The analysis provides a context in which the property values are estimated.

The property that is the subject of this report is in Ector County, Texas, which is situated approximately equidistant between Fort Worth, Texas and El Paso, Texas. The subject market area includes the Permian Basin which includes the larger cities of Odessa and Midland and many smaller towns and communities within a 60-mile radius. A well-developed transportation system links Odessa/Midland with other major cities in the nation.

Odessa is intersected by both State Highway 385 a major north south route, and Interstate Highway 20, one of the primary east-west routes of the interstate highway system. Interstate Highway 20 links Savannah, Georgia with Los Angeles, California and serves Odessa as well. Two other highways join Midland and Odessa, U.S. Highway 80 also called Business Interstate 20 is a four-lane highway connecting the central business districts of the two cities, while State Highway 191, completed in 1984, links the northern portions of Odessa and Midland.

Neighborhood Analysis

Boundaries

The subject neighborhood is defined as the northern section of Odessa, Ector County, Texas, enclosed by North Loop 338 to the North, U.S. Highway 385 (Andrews Highway) to the East, W 42nd St to the South, and the western arc of Loop

338 to the West. The subject property, located at 210 W 57th St, is situated in the northeastern quadrant of this defined area, benefiting from immediate access to the commercial corridor of U.S. Hwy 385. These boundaries are significant man-made traffic arteries that serve to delineate the subject neighborhood from the central business district to the south and the lower-density industrial and rural periphery to the north and west.

The **northern** boundary is formed by the northern segment of Loop 338. This roadway acts as a major circumferential highway for the city of Odessa, typically configured as a four-lane divided highway designed for high-speed regional traffic and heavy commercial transport bypassing the city center. This section of the loop is a critical connector for industrial traffic moving between the Permian Basin oilfields and the city's support services. Adjacent land uses along this northern perimeter are predominantly light industrial, featuring large equipment yards, oilfield service companies, and transitioning open land. The loop creates a distinct physical barrier, separating the more dense suburban and commercial development of the subject neighborhood from the scattering of industrial parks and rangeland to the north.

U.S. Highway 385, also locally known as North Grant Avenue or Andrews Highway, delineates the **eastern** perimeter of the neighborhood. This is a primary north-south arterial and one of the most heavily trafficked commercial corridors in Odessa, featuring multiple lanes in each direction with a center turn lane or median. Traffic flow is consistently heavy, composed of a mix of local commuters and commercial vehicles traveling between Odessa and Andrews, Texas. The corridor is lined with commercial developments, including manufactured home sales, storage facilities, the Ector County coliseum, game rooms, a couple of fast food restaurants, a golf course and supply businesses vital to the Permian Basin's oil and gas industry. As the eastern boundary, it provides high visibility and essential connectivity, linking the subject neighborhood directly to Downtown Odessa to the south and regional markets to the north.

W 42nd St serves as the **southern** boundary, connecting the eastern U.S. Hwy 385 and the western Loop 338. This thoroughfare is arguably the most significant east-west retail corridor in the city. It is a wide, multi-lane paved arterial that experiences high daily traffic counts. The intersection of W 42nd St and U.S. Hwy 385 is a major commercial node. Land use along this southern boundary is densely developed with mostly oil field related businesses along with the City of Odessa water treatment facility, Odessa Recycling Center, Odessa Animal Shelter, a few retail businesses and a couple of restaurants. Physically, W 42nd St acts as a functional divide between the subject neighborhood's mix of residential and light

commercial uses and the older, more established residential subdivisions located to the south.

The **western** boundary is defined by the western arc of Loop 338. Similar to the northern boundary, this roadway functions as a high-volume connector for the western edge of the city. This segment of the loop facilitates movement towards Hwy 385 from West Odessa. The land use along this boundary transitions from some residential and commercial utilizations found within the neighborhood interior to the raw land and drill sites that are present outside the loop. The physical condition of the road is generally good, maintained to support heavy truck loads, and it serves as a hard edge to the neighborhood's residential density.

Analysis Overview by Sector

The neighborhood enclosed by these boundaries represents a transitional zone in North Odessa, featuring a blend of established residential pockets, intensifying commercial frontage, and light industrial support services.

Industrial & Commercial Activity

- **Corridor Influence:** The area immediately inside the northern and western boundaries (Loop 338) is heavily utilized by the energy sector. This includes equipment rental yards, trucking terminals, and specialized construction firms that require quick access to the loop system without entering the city's core.
- **Neighborhood Interior:** Within the boundaries, particularly near streets like W 52nd and W 57th, there is a mix of light industrial/commercial properties interspersed with residential lots. These include small engine repair shops, HVAC contractors, and local service providers.
- **Connectivity:** The industrial utility of the area is driven by the seamless connectivity provided by U.S. Hwy 385 and Loop 338, allowing for efficient logistics and transport of goods to the broader Permian Basin.

Retail & Highway Service Businesses

- **U.S. Hwy 385 (East Boundary):** This corridor is a hub for manufactured housing sales and It also hosts convenience stores and quick-service restaurants catering to the high volume of north-south commuter traffic.
- **W 42nd St (South Boundary):** This street is a primary retail destination for the neighborhood. This particular section of the street is developed more with City of Odessa installations, light industrial utilizations, limited retail, convenience stores and a couple of restaurants. As the street extends to the

east it features major shopping centers, supermarkets (such as Lowes, H-E-B and Walmart Supercenter further east), and a high density of dining options ranging from fast food to sit-down restaurants.

- **Service Density:** The concentration of retail along the southern and eastern boundaries ensures that workforce and residents within the subject neighborhood have immediate access to essential goods and services.

Recent Developments and Trends

- **Infrastructure Improvements:** Continued improvements and maintenance on Loop 338 are a focal point, as the Texas Department of Transportation addresses the increasing heavy truck traffic associated with regional energy production. This includes intersection upgrades and resurfacing projects to enhance safety and flow.

- **Market Stability:** The neighborhood demonstrates stability driven by the energy sector. While new large-scale residential subdivisions are more common to the east of this specific boundary set, this area remains a vital commercial and service support zone for the city.

In summary, the subject neighborhood is a strategically located mixed-use district in North Odessa. It is bounded by the city's most critical transportation loops and arterials—Loop 338, U.S. Hwy 385, and W 42nd St—which provide superior connectivity to the region's industrial hubs and retail centers. The land use is characterized by a strong commercial presence along the perimeters, supporting a diversified economy of retail, manufactured housing sales, and industrial services, while the interior retains pockets of residential and light commercial utility. The ongoing maintenance of these boundary roads and the consistent demand for commercial frontage underscore the area's economic relevance.

Market Area

The larger Market Area includes both Odessa and Midland and the area between the cities particularly on the connecting traffic arteries. These areas along with the industrial parks and districts are prominent industrial and commercial areas. A vast amount of new high-end residential and commercial development is occurring all throughout the market area at the eastern edge of Odessa and the western edge of Midland as the two cities grow closer together.

Economic Trends

The Midland–Odessa economy remains closely tied to the energy sector. Oil production in the Permian Basin hit a record high of ~6.2 million barrels per day in mid-2024 despite a reduced rig count, thanks to technological efficiencies[1]. This surge in output underscores the region's economic momentum, as the Permian Basin is often called "the US oil business," holding roughly half of U.S. oil reserves and boasting some of the lowest production break-even costs[2]. Employment trends have reflected the energy market's swings – after rapid post-pandemic growth, job numbers dipped slightly in early 2024 (down ~1.4% annualized through June) with losses concentrated in oil-related sectors[3]. Still, unemployment remains low by state standards, and wages – while briefly softening – are generally high due to oilfield demand. Local experts maintain an optimistic outlook, projecting continued economic expansion over the next five years driven largely by oil and gas[4]. At the same time, the area is pursuing diversification in sectors such as healthcare, aerospace, data centers and even renewable energy (e.g. wind, solar, carbon capture) to broaden its economic base[5]. This balancing act – leveraging energy wealth while attracting new industries – is set to define Midland/Odessa's economic trajectory moving forward.

Population Growth & Demographics

The Midland/Odessa region has experienced steady population growth, largely mirroring the boom-bust cycles of the energy industry. Coming off the 2010s oil boom, Midland's population jumped over 16% from 2012 to 2022[6] (reaching an estimated 182,000 in the metro area by 2023[7]). Odessa's population has grown as well – roughly 11% growth over the last decade[8] – placing the combined metro area around 365,000 residents. Recent estimates show growth continuing post-COVID, with Midland city up 4.4% since 2020 (to ~138,000 residents)[9] and Odessa city hovering around 116,000. Much of this rise is driven by in-migration of workers attracted by oilfield jobs, alongside relatively high birth rates.

Demographically, the area skews young and family-oriented – the median age is

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[1] Permian Basin Economic Indicators - Dallasfed.org
[2] Commercial Real Estate in the Permian
[3] Permian Basin Economic Indicators - Dallasfed.org
[4] Midland, Odessa economies to grow significantly, economist says
[5] Midland Economic Development | TxEDC
[6] The West Texas Region
[7] Population of Midland TX
[8] The West Texas Region
[9] Population of Midland TX

about 32–33, a few years below the U.S. average[10] [11]. This reflects the influx of working-age adults in energy and supporting industries. Education and income levels are mixed – oil careers have attracted a high-skilled contingent (Midland boasts nearly twice the national average concentration of engineers[12]), yet the area also includes many blue-collar workers. Median household incomes are solid (around $83K in Midland MSA[13]) thanks to lucrative energy wages. The most recent official figure for Odessa is from the U.S. Census Bureau's 2023 American Community Survey (ACS) 1-Year Estimates, which places the median household income for the City of Odessa at $74,562. For Ector County as a whole, the 2023 median household income is cited as $71,031 by data analysis site Data USA. Overall, the population trend is one of moderate growth, tied to the health of the energy sector: rapid expansions during oil booms, tempered by plateaus (or slight declines) during downturns. As the local economy diversifies, population growth is expected to remain positive, albeit at a manageable pace.

Real Estate Trends - Residential Market

Home prices in Midland–Odessa have climbed significantly in the past year (2024), driven by both demand and inflation in construction costs. As of mid-2024, the median existing home price in the region reached about $319,000, up 10.3% year-over-year[14]. Even with higher mortgage rates nationally, the local housing market stayed resilient thanks to the influx of workers and relatively limited supply. That said, sales activity has cooled from its frenzied peak. Home sales in the Permian Basin in June 2024 were roughly flat month-over-month but down nearly 13% from a year prior – in fact, Midland and Odessa home sales are about 26% below the boom-time peak of May 2022. This pullback in transactions has led to a gradual rise in housing inventory. Midland now has about 3.1 months of housing supply, slightly above pre-pandemic levels, while Odessa sits at 3.0 months, still below its 2019 norm. For context, a six-month supply is considered a balanced market, so both cities remain undersupplied, especially Odessa. Housing demand therefore continues to outstrip supply, keeping upward pressure on prices, but buyers have gained a bit more leverage than during the recent oil boom. Recently more real estate inventory has come online beginning a buyers market in some locations.

To accommodate growth, a number of new residential developments are in the pipeline. For example, Odessa officials recently approved a planned subdivision of

[10] The West Texas Region
[11] Population of Midland TX
[12] Midland Economic Development | TxEDC
[13] Population of Midland TX
[14] Permian Basin Economic Indicators - Dallasfed.org

552 single-family homes with parks and dog-friendly amenities on the city's east side[15]. Likewise, a large 159-acre mixed-use project (proposed by a local developer) will bring *"resort-style"* living to the area – including a golf course, equestrian center, and upscale housing – marking Odessa's first venture into a true mixed-use community. In Midland, builders are also active: infill housing and new subdivisions are expanding options on the city's fringes, and multi-family projects (e.g. planned apartments and townhomes) aim to ease the tight rental market. Overall, the residential real estate scene is characterized by rising home values and developers racing to keep up with population and job growth. While higher interest rates and low inventory have slightly slowed the market, there is some steady activity in the housing sector.

Real Estate Trends - Commercial Market

The commercial real estate sector in Midland/Odessa is seeing divergent trends across retail, office, and industrial segments as it adapts to the post-pandemic economy:

- Retail: The retail market is expanding aggressively, fueled by population gains and rising incomes. Several high-profile projects are underway that will reshape the shopping and entertainment landscape. Notably, Bass Pro Shops opened its 100,000 sq. ft. "Outdoor World" superstore in October 2025, which anchors the 158-acre Dorado Destination retail center along State Hwy 191 near Odessa. This destination retail project (a partnership with developer ICA Properties) is expected to draw shoppers from across the Permian Basin. Similarly, Costco invested in a major store in west Midland, with city leaders touting it as the largest Costco in Texas at ~174,000 sq. ft[16]. The arrival of Costco is slated to kick-start a new retail corridor along the SH 191 corridor in Midland, attracting restaurants and ancillary stores to serve the influx of regional shoppers. The Costco opened in July of 2025. Beyond big-box stores, mixed-use lifestyle projects are also advancing. In central Midland, the Summit Center – a 20-acre development featuring shops, dining, office space and a 4-acre park – opened in 2024, creating a family-friendly community hub[17]. These investments have kept retail vacancy rates low (many national chains and local entrepreneurs are vying for space), and they signal strong retailer confidence in the local consumer base. Overall, retail real estate is a bright spot, with new entrants and expansions positioning the Midland/Odessa market as a regional shopping destination.

[15] CitizenPortal.ai - New housing development proposal sparks community debate
[16] News Flash • Destination transformation in Midland just star
[17] Neighbors Call Development of Summit Center in Midland 'good for the Community'

- Office: In contrast, the office market remains soft. The energy downturn of 2020 and the rise of remote work left the area with elevated office vacancies that it is still working through. Midland's office vacancy rate was about 28% in 2023, among the highest in Texas[18]. Demand for large office spaces has been slow to recover, as many oil companies downsized footprints or subleased space after 2020. Developers have responded by *rethinking* and repurposing under-used office properties. A striking example is the former six-story Chase Bank building in Midtown Midland: finding that *"big office buildings have not been in high demand since the pandemic,"* the owners demolished the structure to redevelop the site for restaurants and retail instead[19]. Multiple new restaurant and convenience store pad sites are planned there, illustrating the preference for commercial uses that generate foot traffic over speculative office towers. New office construction is minimal – limited mostly to build-to-suit projects for specific tenants (often in the medical or public sector). On a positive note, the overall employment growth in 2023-24 has begun to chip away at office vacancy, and leasing activity for small-to-midsize professional spaces has improved somewhat. However, given the ample existing inventory, office rents remain competitive and landlords are offering incentives. Until job growth accelerates further (or older stock gets absorbed or converted), the office sector is likely to lag other real estate segments. Currently in Q1 of 2025, the US Office vacancy has risen to around 22%. Up from 2024.

- Industrial: The industrial real estate market is booming, underpinned by the region's energy logistics needs. Warehouse, yard, and flex-space demand is robust, as oilfield service companies, manufacturers, and distributors expand operations. Midland's industrial vacancy was only ~6% as of Q1 2024, slightly below the U.S. average, after about 280,000 sq. ft. of space was absorbed in the past year[20]. Odessa's industrial sector mirrors this strength – tenants there absorbed over 220,000 sq. ft. in the past year, driving rents up ~4% and pushing vacancies down (though Odessa's industrial vacancy is still a tad higher, it narrowed by 1.5% over the year)[21]. The new construction of Liberty Energy's new regional headquarters in Odessa, a $50 million complex in the Leeco Industrial Park which includes a 42-bay maintenance shop, six-bay truck wash, a 50,000 sq. ft. warehouse, and a two-story office/training

[18] Midland Office Rent Price & Sales Report - CommercialCafe
[19] Midland redevelopment to bring new retail, restaurants to former bank
[20] Q1 2024 Market Recap | West Texas
[21] Q1 2024 Market Recap | West Texas

center[22]. This massive facility had the official groundbreaking March 2024 and is now complete and operational, consolidating Liberty's operations and solidifying its large footprint in Odessa. Another transformative project was Nacero Inc. 's planned $7 billion Penwell plant, just west of Odessa near the subject land acquisition is now on hold and is not planned for at least 6 to 8 years into the future. The funding by the Odessa Development Corporation has been suspended and the permits have been canceled. The region's growing role as a logistics hub (Midland's rail, highway and air connections make it a staging ground for Permian operations). With the cancellation of this Penwell plant project the market has softened. Other projects in the area may however keep this segment mostly healthy. Upon consultation with market participants in the Midland warehouse sector, these properties are sitting on the market for extended periods and they are actively lowering the prices month after month. Specific to Odessa, the Odessa market saw a 0.1% year over year increase as of Q2 2025 in the warehouse/industrial rents. However, the market is no longer characterized by rapid absorption and rising rents but more by flat rents.

Major Infrastructure Projects

Midland and Odessa are investing heavily in infrastructure upgrades to support growth and improve quality of life. Several significant projects – from highways to downtown redevelopment – are underway or planned:

- Interstate 20 Widening: The most ambitious initiative is the overhaul of I-20, the key east-west freeway through Midland/Odessa. In late 2024, TxDOT launched a $424 million I-20 corridor improvement program spanning ~11 miles of the metro area[23]. This project will add main lanes, rebuild interchanges, and reconfigure frontage roads to one-way travel for safety. Construction kicked off with frontage road rebuilds (shifting traffic patterns in 2024) and is ramping up to major work in 2025. New interchange construction is slated at Faudree Road and County Roads 1300 & 1260 in East Odessa, addressing what were high-congestion, high-crash intersections. The improvements will enhance mobility and freight movement along I-20, which sees heavy truck traffic from the oil fields. As part of this effort, by mid-2024 all I-20 frontage roads were converted to one-way traffic flow (a significant change from the previous two-way frontage system). The interstate widening and redesign is a multi-year endeavor, but upon completion it will greatly increase capacity, reduce bottlenecks, and improve connectivity between Midland, Odessa, and surrounding communities.

[22] Liberty Energy to build regional headquarters in Odessa

[23] TXDOT plans $424M I-20 upgrades in Midland, Odessa

- Highway and Loop Upgrades: Beyond I-20, other road projects are addressing growing traffic demands. A notable example is the State Highway 191 at FM 1788 intersection expansion, where Midland and Odessa meet near the airport. In April 2024, officials broke ground on a $10.7 million project to widen that busy intersection, add turn lanes and pave new turnarounds. This will relieve a known choke-point used by commuters and oilfield trucks between the two cities. Looking ahead, long-range plans call for widening Midland's Loop 250 (the city's main loop road) to six lanes and modernizing its interchanges[24]. Similarly, Odessa's Loop 338 has identified needs for expansion and safety improvements. One visionary plan in the Forward 50 regional transportation blueprint is to establish an Interstate 27 connector to the Permian Basin – effectively extending I-27 from Lubbock down to Midland/Odessa. The proposal would upgrade existing routes (like SH 349 and FM 1788 via the Craddick Hwy) into an interstate-grade facility that ties into I-20. While this is a long-term project, local leaders consider it crucial for boosting commerce (part of the Ports-to-Plains Corridor initiative). All of these road and highway investments aim to improve safety, reduce congestion, and facilitate the region's continued expansion.

- Downtown & Civic Developments: Infrastructure investment isn't limited to transportation – both cities are channeling funds into urban development and amenities. In downtown Midland, a major public-private venture is the Omni Midland Hotel, a full-service 135-room hotel with a rooftop pool, ballroom (7,000 sq. ft.), and 15,000 sq. ft. of meeting space[25]. Odessa has its own downtown initiatives, including facade improvements and plans for a hotel/conference center, though those are in earlier stages. The Odessa Marriott in downtown Odessa sets the stage for the further development in the public private partnerships being established. Odessa college has a downtown outdoor venue with green space to host varying events for the college and possibly the city. Additionally, the county is getting bids for a new county courthouse which will be located where the current downtown post office sits across Texas St from the current courthouse which is in need of too many repairs to continue long term use. This is an upcoming development as well.

- Community & Recreational Infrastructure: The cities recognize that quality-of-life infrastructure is vital for attracting and retaining residents. Midland completed new Little League baseball fields at

[24] MPO releases long-term plans for I-27 construction, Loop 250 improvement
[25] City of Midland - News Flash • Destination transformation in Midland

Reyes-Mashburn-Nelms Park and approved a multi-million dollar upgrade to the 36-hole Hogan Park golf facility (including new irrigation and turf). Building has started for an indoor sports hub: a $30+ million basketball/volleyball center at the Scharbauer Sports Complex, expected to host regional tournaments once finished. These investments will bolster sports tourism and local recreation, bringing in tournaments and revenue while giving residents first-class facilities.

Odessa, for its part, is working on a new parks Master Plan to add to the modern aquatic centers and outdoor sports fields through school and city partnerships. A large donation of land to the city of Odessa from the Amy Bell Family of around 100 acres on the NE side of town is slated to be a large sports complex with indoor and outdoor facilities. "Ratliff Ranch Golf Links is situated on 125 acres and offers a Scottish style links course with rolling hills and unique elevation changes." ratliffranchgolfodessa.com In October 2025 (last month), the Odessa City Council was scheduled to discuss spending $68,000 on a feasibility study. The purpose of the study is to determine if the city should add another 18-hole course at Ratliff Ranch. According to the Parks and Recreation Director, the current course is seeing heavy use (over 50,000 rounds in the last three years), leading to limited tee times. An additional course would help spread out play and keep both courses in great shape. In September 2025, the restaurant at the course, formerly Linx Bar and Grill, was relaunched as Charlie's Cattle Co., offering a new menu and refreshed atmosphere. Another recreational attraction sponsored by the City of Odessa includes the Comanche Trail Pond located on Interstate 20 that is restocked seasonally. This park is provided so everyone can enjoy fishing and the outdoors near the city. Additionally, across Interstate 20 on the north side, Starbright Village is the largest light display in West Texas free and open to the public from December to January 1 each year. www.oaoa.com, permianproud.com, www.youtube.com. discoverodessa.org

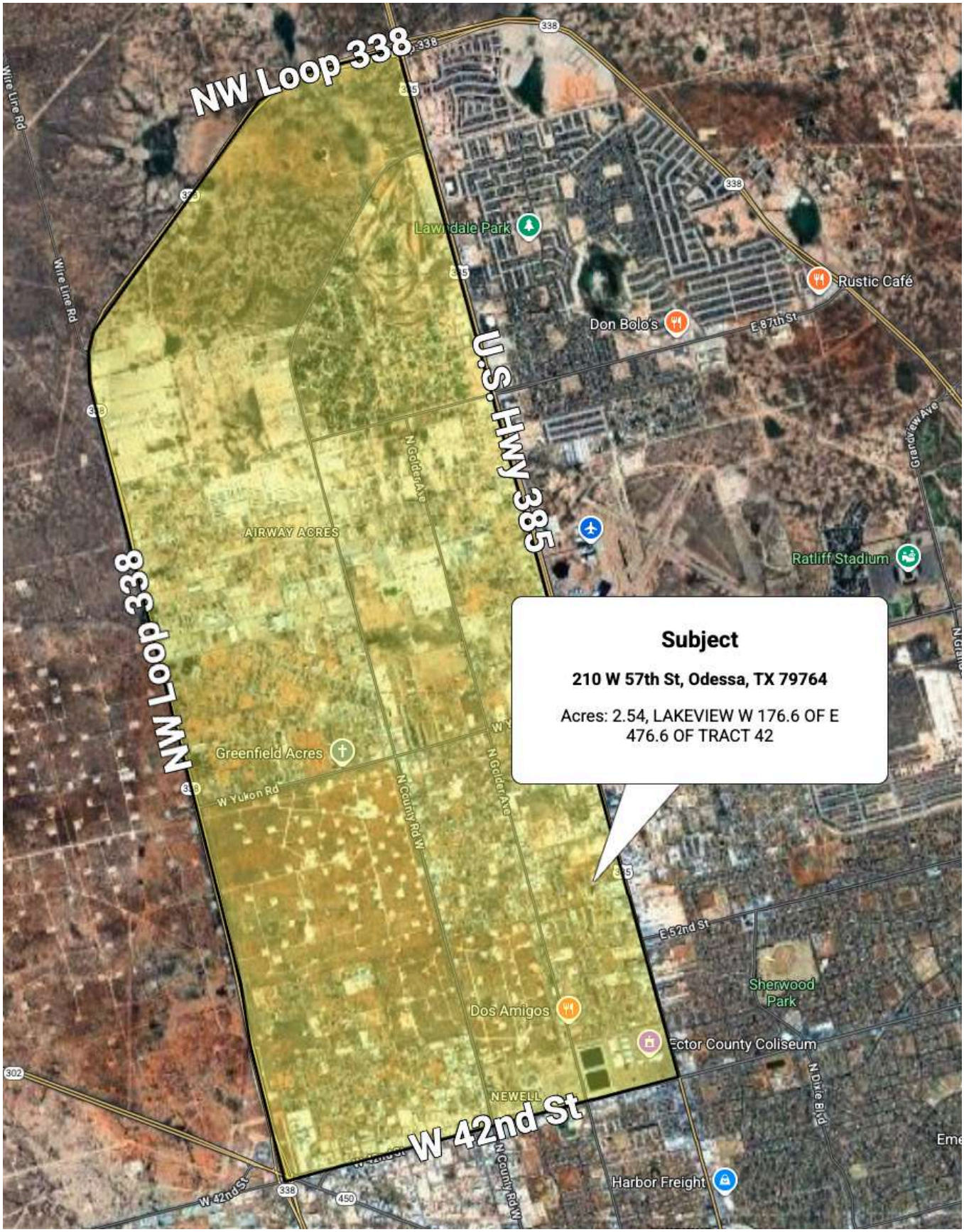
- Business Parks & Other Investments: Industrial infrastructure is growing through dedicated business parks. Midland's Spaceport Business Park, adjacent to the Midland International Air & Space Port, continues to attract aerospace and defense companies with "shovel-ready" sites and R&D facilities (drawing firms like AST SpaceMobile and Firehawk Aerospace). In Odessa, the ODC (Odessa Development Corporation) is supporting the build-out of industrial parks like Leeco (site of the new Liberty Energy campus) and others, with improved roads and utilities to accommodate large employers. Additionally, both city and county governments are investing in water and sewer expansions to newly developed areas, and in strengthening

the electric grid capacity – critical needs noted by industry experts for sustaining long-term growth[26].

All told, Midland/Odessa's infrastructure upgrades – from highways to hotels – reflect a region in the midst of evolution. Officials are proactively addressing bottlenecks (road congestion, overtaxed civic facilities) that arose from the last energy boom, while laying groundwork for future expansion. These projects not only improve daily life (safer roads, more amenities) but also enhance the local business climate, ensuring the Midland/Odessa area remains an attractive place to live, work, and invest for years to come.

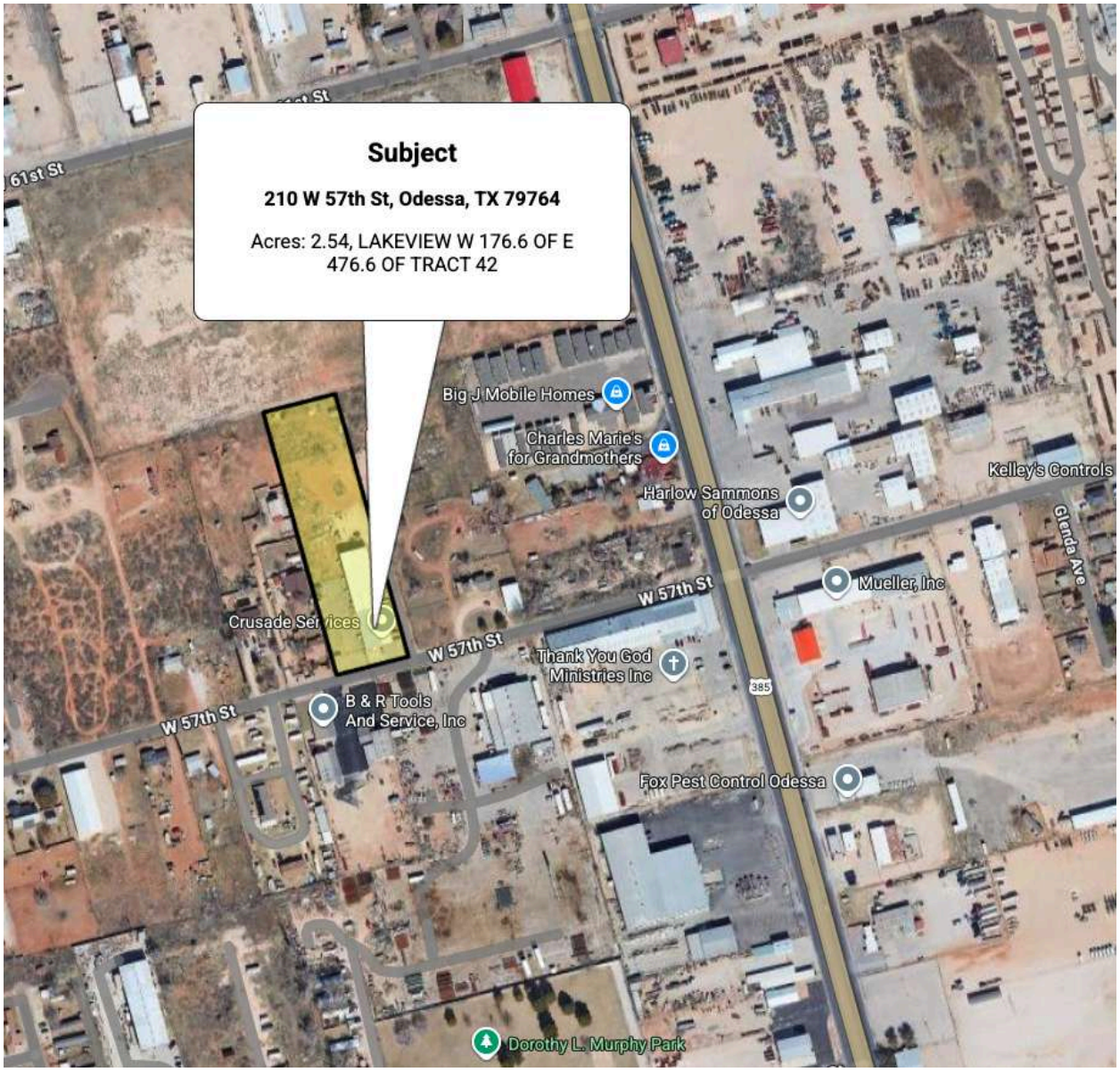
[26] Midland, Odessa economies to grow significantly, economist says

NEIGHBORHOOD MAP



SUBJECT PROPERTY ANALYSIS

SITE ANALYSIS



Location

210 W 57th St, Odessa, Ector County, TX 79764

Size and Configuration

The subject is a rectangular shaped tract of land approximately containing about 2.54 acres (~11,0642.4 SF) of improved land. Primary access to the property is provided by West 57th Street.

Topography/Drainage

The topography of the property appears to be basically level with some variances based on aerial views; however, there appears to be enough slope to allow for adequate water drainage.

Soil and Subsoil Conditions

The appraiser was not provided with a soil or subsoil survey; however, it is assumed that the soil and subsoil conditions are typical of the West Texas Area and will not require excess footings and/or foundations. The appraiser, however, is not qualified to detect any defective condition, so the client is urged to retain an expert in the field if desired.

Zoning

The subject property is located outside the corporate limits of the City of Odessa and is not assigned a specific zoning classification. It lies within the Extraterritorial Jurisdiction (ETJ) of Odessa. This designation means that while the property is not subject to city use restrictions, it may be subject to other city ordinances, primarily related to platting and development standards.

The surrounding area exhibits a zoning pattern consistent with the subject, as the properties immediately adjacent to the west, east, north, and south are also situated within the ETJ and lack municipal zoning designations. However, the subject is located approximately one block, or 1,000 feet, from the city limits. At this boundary, properties transition into the corporate limits and are classified as HC, Heavy Commercial District-2. The immediate vicinity is predominantly characterized by a mix of light industrial and commercial service uses typical of the unzoned areas on the city's periphery.

Property Taxes

The subject property is located in Odessa, Ector County, Texas and is taxed based on values established by the county tax assessors. The tax rates are applied to the assessed value of the subject property, and the taxes for the subject property are then estimated. The taxes are estimated per $100 of assessed value. This property is subject to taxes for the ECTOR COUNTY, ECTOR COUNTY ISD, ECTOR CO HOSPITAL DIST, ODESSA COLLEGE. The 2024 combined tax rate for these authorities is $1.64. The 2024 taxes were $11,371.09 with an

evaluation by the Ector County Appraisal District of $694,370.00 net assessed value for each parcel as noted in the Property Identification section above.

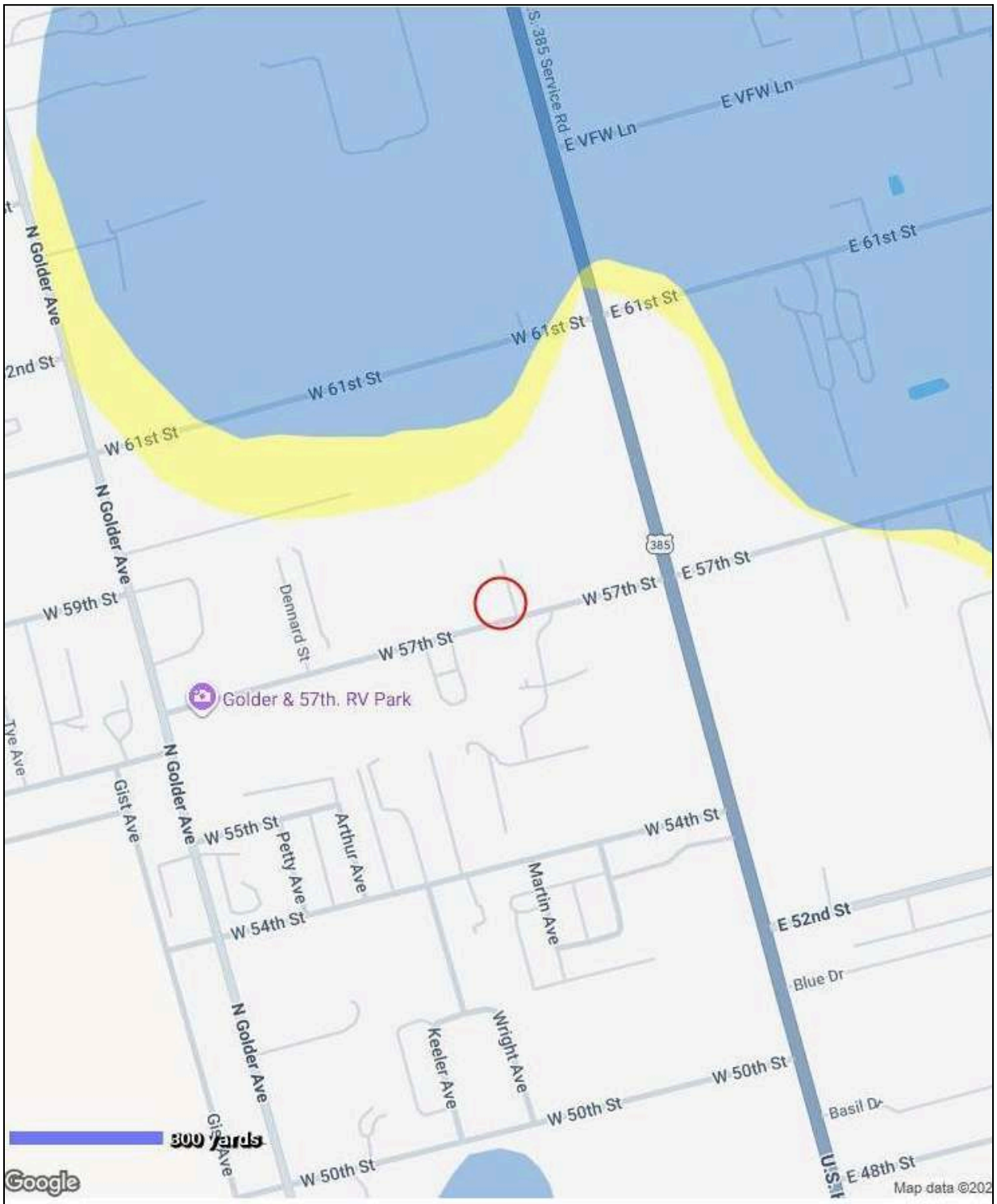
The subject displays a combined assessment of $694,370.00. With the appraised value on the effective date of $1,182,000 the taxes of the market value would be approximately $19,400.17.

Note: 2024 tax rates and assessed value are used due to 2025 tax rates and final taxes not published.

Flood Plain

According to FEMA Map #48135C0220E of March 15, 2012, the subject property is in FEMA Zone X, and is **NOT** in a FEMA Special Hazard Flood Area. The client is urged to retain an expert in the field if necessary.

Flood Map



MAP DATA

FEMA Special Flood Hazard Area: **No**
Map Number: **48135C0220E**
Zone: **X**
Map Date: **March 15, 2012**
FIPS: **48135**

MAP LEGEND

Powered by CoreLogic®

- Areas inundated by 500-year flooding
- Areas inundated by 100-year flooding
- Velocity Hazard
- Protected Areas
- Floodway
- Subject Area

Utilities and Public Services

Utilities/Services	Provided By
Electricity	Oncor
Natural Gas	Atmos Energy
Telephone/Internet	AT&T, Sparklight, Optimum, T-Mobile, Starlink, HughesNet, Viasat
Police and Fire Protection	City of Odessa / Ector County Sheriff's Department and West Odessa Volunteer Fire Department
Water and Sewer	Public & Well water, Septic

Easements and Encroachments

Upon inspection of the property only via aerial maps and records affecting such, there appear to be no easements or encroachments that would affect the subject property in a negative manner.

Subject Property Development

The subject property consists of a 2.54-acre site improved with one commercial building offering a total of 14,868 square feet of gross building area. The structure was built in 1982, giving the improvements a chronological age of 43 years. Some of the office areas and the rest room in the middle of the building were added more recently. The building area is composed of 1,546 square feet of office space and 13,322 square feet of warehouse space, constructed with a heavy steel beam frame and pre-engineered metal siding on a concrete slab. Site improvements include 9,380 square feet of asphalt paved parking providing 20 spaces, 2,907 square feet of concrete pads, 141 linear feet of 6' chain-link fencing with three-strand barbed wire, 145 linear feet of pipe and chain-link fencing, and three rolling gates. Additional features include two septic systems, a private water well, and hoisting equipment consisting of 5-ton and 3-ton overhead cranes. The overall effective age of these improvements due to the more recent office additions and continued maintenance is 25 years, and their overall physical condition is considered average.

IMPROVEMENT ANALYSIS

Improvement Characteristics

Property Type	Commercial
Property Subtype	Office/Warehouse
Occupancy	Single Tenant
Number of Buildings	1
Number of Stories	1
Construction Class	S
Construction Quality	Good
Gross Building Area (GBA)	14,868 SF

Ratios & Parking

Land / Bld Ratio	7.44
Parking (SF)	9,380
Parking Spaces	20 Total (Front and Side Paved Parking)

Age / Life

Year Built	1982
Condition	Average
Age	43
Effective Age	30.0

Structural Characteristics

Foundation	Concrete Slab
Roof Type / Material	Metal
Building Frame	Heavy Steel Beam
Exterior Walls	Pre-engineered Metal Siding

Interior Characteristics

Floors	Vinyl Tile, Concrete
Walls	Painted Dry Wall, Paneling (Office), Insulated Shops
Ceiling	Lay in Asbestos Tiles and Painted Drywall Ceiling (Office)

Lighting	Strip Fluorescent Lights, LED lighting, Halide Lights (small amount), Translucent Panels for natural light
Restrooms	Adequate (~13 Fixtures)

Mechanical Systems

Electrical	Adequate (3 Phase / 440 Voltage)
Plumbing	Adequate (Public & Water Well, Septic)
Heating	Forced Warm Air Throughout
Air Conditioning	Central Air Conditioning Throughout, Mini Split (Office Only)
Fire Protection/Sprinklers	Smoke Detectors (None noted), No Sprinklers

Site Improvements

Site Improvements	2 septic systems and 1 private water well, 6' Chainlink fence with 3-strand barbed wire top (141 Ft), Rolling Gates (2 @ 22', 1 @ 16'), Pipe + Chainlink Fencing (145 Ft), Concrete Pads (2,907.05 SF), Asphalt Paved Parking (9,380 SF), AC Units (5)
Landscaping	Raw & Caliche Yard

Legal, Conforming Status

Legally Permitted Use	Yes
Conforms to Parking	Yes
Conformity Conclusion	In Conformity

OWNERSHIP / SALES HISTORY

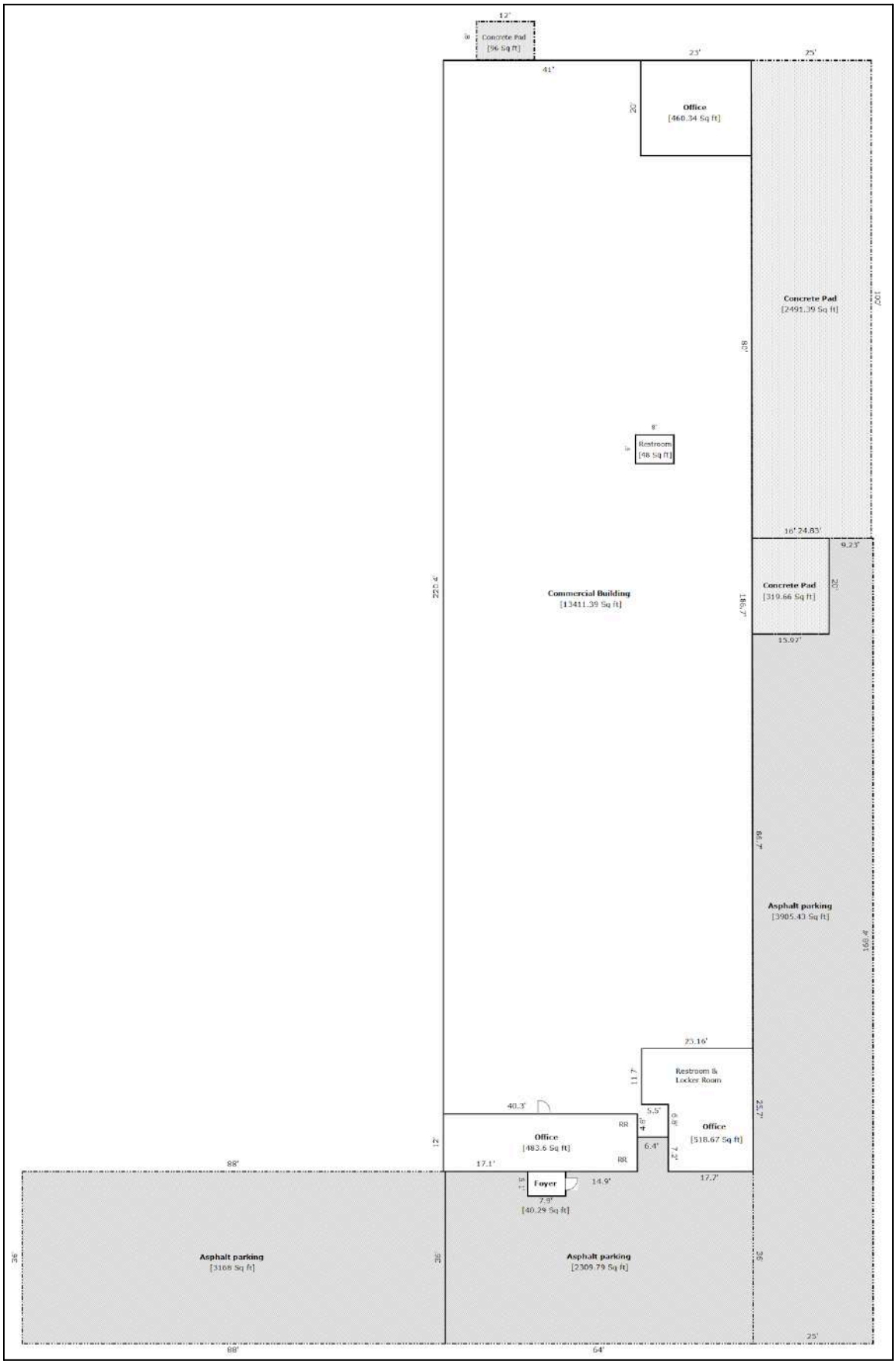
The property was obtained by Jack C. Kirk, d/b/a Kirk's Machine Works, via a deed dated June 30, 2005, as recorded in the deed records of Ector County, Texas, under Instrument Number 2005-00010455 (Volume 1946, Page 625) for the West 176.6 feet of the East 476.6 feet of Tract 42, Lake View Addition, from Donna Maxwell Chapman, Trustee of the Maxwell Family Trust dated April 23, 1996.

This ownership history is based on available deed records.

Summary and Conclusion

The subject site comprises a 2.54-acre improved tract located at 210 W 57th St, offering good accessibility and exposure within the Extra-Territorial Jurisdiction (ETJ) of Odessa. Surrounded by similar industrial and commercial developments, the property features a 14,923-square-foot office/warehouse facility constructed in 1982. Some of the office areas and the rest room in the middle of the building were added more recently. Site improvements include asphalt paved parking with approximately 20 spaces, concrete pads, and a caliche yard secured by six-foot chain-link fencing with three-strand barbed wire and rolling gates. The property has been adequately maintained, retains functionality, and benefits from public water and electrical utilities, while utilizing two septic systems for sewage and a private water well. The site is not located within a FEMA Special Hazard Flood Area (Zone X). Considering its lack of restrictive zoning, stabilized yard, and functional improvements, the site may be attractive to a variety of manufacturing, light industrial, or commercial utilizations.

BUILDING SKETCH



HIGHEST AND BEST USE / MARKET ANALYSIS

Highest and best use is defined by The Appraisal of Real Estate, 9th Edition, American Institute of Real Estate Appraisers, as:

"The reasonable probable and legal use of vacant land or an improved property, which is physically possible, appropriately supported, financially feasible, and results in the highest value."

Because the presence of improvements can limit a parcel of land's possible uses, highest and best use is determined separately for the land as vacant and available to be put to its highest and best use, and for the property as improved. The highest and best use of the land as vacant and available for use may be different from the highest and best use of the improved property. This will occur when existing improvements create value in excess of the land alone, but do not add maximum value since the improvements are not the most beneficial use.

Whether vacant or improved, the highest and best use of land must meet the following four criteria:

1) Physically Possible	The uses that can be physically placed on the site.
2) Legally Permissible	The uses that are allowed by zoning and deed restrictions.
3) Financially Feasible	Any possible and permissible use that will produce a net return to the land and the owner.
4) Maximally Productive	The feasible use that will produce the greatest net return or highest present worth to the land.

Site As Vacant

Physically Possible

The subject site contains approximately 2.54 acres (~110,642 square feet) located on W 57th St in Odessa, Ector County, Texas. The topography and the soil conditions appear to be adequate for development, and the property is not located within a FEMA special flood hazard area (Zone X). The site has access to electricity and public water; however, sewer is serviced by a private septic system. The subject property is of sufficient size and shape to accommodate a variety of potential commercial or industrial uses. The site is primarily surrounded by similar industrial and commercial properties. Access to the subject's neighborhood is considered good due to its location on W 57th St.

Legally Permissible

The subject property is located outside the corporate limits of the City of Odessa and is not assigned a specific zoning classification. However, the site falls within the City of Odessa's Extraterritorial Jurisdiction (ETJ), which may subject it to city ordinances related to platting and development standards rather than land use restrictions. The surrounding properties share this characteristic of being located in the county and outside formal municipal zoning districts. No private deed restrictions were uncovered during a normal investigation which would further limit the potential uses of the subject property at the time of the appraisal.

Financially Feasible

Although the subject site legally and physically allows for the development of a wide variety of uses, only those which produce income and/or a return ample to satisfy operating expenses, financial obligations, and capital amortization are considered financially feasible. As described in the Neighborhood Analysis section, the subject's defined neighborhood contains a variety of industrial and commercial developments, and key supply and demand factors support new construction, particularly for oilfield service-related companies and manufacturing. The property's location on W 57th St affords it good accessibility and exposure. Given these factors, the most feasible use would be for industrial or office-warehouse development. There are several single-tenant and owner-occupied industrial buildings nearby, and the physical features of the site are suitable for a build-to-suit or owner-occupied building. This would be the most feasible use under current market conditions.

Maximally Productive

Among the financially feasible uses, the use that results in the highest value (the maximally productive use) is the highest and best use. Considering the site's physical attributes, permissive regulatory environment, and market feasibility, the maximally productive use as though vacant is for commercial or industrial development.

Highest and Best Use As Though Vacant Conclusion

Based on the analysis of all relevant factors, the conclusion of the highest and best use as though vacant is for commercial or industrial development.

Site As Improved - Primary Site

The four criteria previously mentioned must also be met for the site's proposed improvements to be representative of the highest and best use.

The subject property consists of a 14,868 SF commercial facility on 2.54 acres of land. The subject's improvements are not unusual to find in the surrounding area.

The overall value of the building as improved exceeds the value of the property as vacant; therefore, an informed purchaser would leave the existing improvement intact. Based on the information, the physical possibilities of the subject would be for use as a commercial property such as an office utilization or the current office/warehouse facility.

The use of the land with the improvements is physically possible and legally permissible based on the location within the ETJ and surrounding developments. No private deed restrictions were uncovered during a normal investigation which would further limit the potential uses of the subject property at the time of the appraisal, which would further restrict its development. The building is situated in such a manner as to provide reasonable on-site traffic flow. Currently, there are no other legally permissible uses which would economically justify the demolition of existing improvements and property redevelopment. As a result, the highest and best use for the site as improved is for its existing use as a commercial utilization/office-warehouse.

SUBJECT PROPERTY VALUATION

VALUATION PROCESS

As previously mentioned, three approaches to value will be used in order to obtain a value estimate for the subject property. The Sales Comparison Approach to value will be used to determine land value based on current land sales. Then the Sales Comparison Approach will be utilized to determine the improvement value only and the subject property as a whole utilizing both analyses. The income approach to value will also be developed.

COST APPROACH TO VALUE

The Cost Approach is based upon the Principle of Substitution, which states that a rational buyer will pay no more for a property than that amount for which he can obtain a comparable site and construct improvements of equal desirability and utility, assuming no undue delay. This approach to value considers five basic steps.

1. The estimate of land value, as if vacant.
2. The estimate of the current cost of reproducing or replacing the existing improvements.
3. The estimate of accrued depreciation from all causes.
4. Deduct total accrued depreciation from the cost new estimate to arrive at a depreciated value of the improvements.

The final step is the addition of the land value to the contributory value of the improvements in order to arrive at the indicated value of the entire property.

SALES COMPARISON APPROACH

When adequate historical market data pertaining to properties similar to subject is available, the Sales Comparison Approach can be very reliable. The Appraiser must do five things in order to apply this approach:

1. Obtain market information on sales transactions, listings, and offerings to purchase properties similar to the subject property.
2. Verify the data obtained to assure its correctness and acquire the terms of sale to see that they reflect an arm's length transaction.
3. Analyze each of the comparable properties' important characteristics with the corresponding ones of the subject property in order to derive the appropriate elements of comparison (e.g., time, location, and other

characteristics – physical and economical).

4. Use the elements of comparison abstracted in the previous step in order to distinguish the differences between the subject property and the comparable sale properties and to see their effect on the sales price.

5. Reconcile the value indications produced by the comparison into a single estimate of value or a range of values for the property as a whole.

INCOME APPROACH

The principal assumption of the Income Approach is that there is a definite relationship between a property's value and the income it can produce. This method requires translating net income produced by a property into a value estimate by determining the present value of the anticipated income stream, appropriately discounted for risk, liquidity, and the remaining economic life of the improvements. There are basically four steps to be followed in assembling and processing the data needed in this approach, and they are summarized as follows:

1. Obtain the rent schedules and percentage of occupancy for the Subject Property and for comparables for the current year and several past years. This data is then compared and adjusted to an estimate of effective gross income which the property may be reasonably expected to produce.

2. Obtain expense data such as taxes, insurance and operating costs being paid by the Subject Property and by comparable properties.

3. Estimate the probable duration of the building's income or alternately, estimate the suitable period of ownership before resale.

4. Estimate the net operating income to the property (which is obtained by subtracting the expenses from the effective gross income), and select the appropriate capitalization method, the applicable technique, and appropriate rate for processing this net income.

SALES COMPARISON APPROACH - LAND VALUE ESTIMATE

The Sales Comparison Approach will be used to estimate the subject property land as vacant. The following sales occurred over the past several years in the immediate and similar surrounding areas and have been employed in ascertaining the land value estimate. These are considered the best land sales available for property.

LAND SALE NO. 1

Property Information	
Address	0 De La Renta Odessa, TX 79764
APN	26198.00210.00000
Legal	MARCO INDUSTRIAL SITES BLOCK 3 LOTS 16-17
Zoning	None (Inside ETJ)

Sale Information	
Sale Price	$45,000
Date of Sale	Jul 21, 2025
Recording	2025-00014183
Grantor	Holguin Sergio Banuelos Ramirez et al
Grantee	Blanca Lidia Arzate

Physical Description	
Land Size (AC)	1
Land Size (SF)	43,560
Corner	Yes
Frontage	Dirt
Surface	Raw
Utilities	None

Key Indicators	
Sale Price / SF	**$1.03**
Sale Price / AC	$45,000.00

Comments

Sold for $45,000 on 7/21/2025. 1.00 acre corner lot. No utilities on site. Dirt road frontage.
Verified by MLS/CAD/Deeds (MLS #159743)

LAND SALE NO. 2

Property Information	
Address	TBD 3rd St W Odessa, TX 79763
APN	05760.00430.00000
Legal	MARCO INDUSTRIAL SITES BLOCK 3 LOT 16-17
Zoning	None (Inside ETJ)

Sale Information	
Sale Price	$126,000
Date of Sale	Apr 28, 2025
Recording	2025-00008335
Grantor	PDFOA Shareholders Wolf Clinton E Gene Jr Trustee
Grantee	Jesus Molinar

Physical Description	
Land Size (AC)	4.48
Land Size (SF)	195,149
Corner	No
Frontage	Secondary
Surface	Raw
Utilities	None

Key Indicators	
Sale Price / SF	**$0.65**
Sale Price / AC	$28,125.00

Comments

Sold for $126,000 on 4/28/2025. 4.48 acre tract. Brush covered topography. No utilities on site. Verified by MLS/CAD/Deeds (MLS #159843)

LAND SALE NO. 3

Property Information	
Address	904 & 906 S Westcliff Rd Odessa, TX 79763
APN	43350.00060.00000 43350.00070.00000
Legal	T-2-S BLK 44 SEC 36 T-2-S BLK 44 SEC 36
Zoning	None (Inside ETJ)

Sale Information	
Sale Price	$125,000
Date of Sale	Nov 07, 2025
Recording	2025-00022430
Grantor	Elvin K & Patti Sue McGuire
Grantee	Lydia Cardoza

Physical Description	
Land Size (AC)	4
Land Size (SF)	174,240
Corner	No
Frontage	Secondary
Surface	Raw
Utilities	Available

Key Indicators	
Sale Price / SF	**$0.72**
Sale Price / AC	$31,250.00

Comments

Sold for $125,000 on 11/7/2025. Two 2-acre lots sold together. Includes 2 water wells, 3 septic tanks, and electricity. (Underground utilities) Mobile homes on site conveyed at no value.
Verified by MLS/CAD/Deeds (MLS #163211)

LAND SALE NO. 4

Property Information	
Address	0 N Alfalfa Ave Gardendale, TX 79758
APN	39380.00131.00000
Legal	T-1-S BLK 41 SEC 10 2.54 ACRE TRACT OUT OF 38.02 ACRES
Zoning	None (Inside ETJ)

Sale Information	
Sale Price	$157,000
Date of Sale	Jul 15, 2025
Recording	2025-00013870
Grantor	Crystal Fullmer et al
Grantee	Jakob Brown

Physical Description	
Land Size (AC)	2.54
Land Size (SF)	110,642
Corner	No
Frontage	Secondary
Surface	Cleared
Utilities	Part. Available

Key Indicators	
Sale Price / SF	**$1.42**
Sale Price / AC	$61,811.02

Comments

Sold for $157,000 on 7/15/2025. 2.54-acre residential lot. Cleared and level. Public water and electricity available.

Verified by MLS/CAD/Deeds (MLS #50081052)

LAND SALE NO. 5

Property Information	
Address	2920 S FM 866 Odessa, TX 79763
APN	09250.00007.00000
Legal	866 INDUSTRIAL SUBDIVISION BLOCK 1 LOT 7
Zoning	None (Outside ETJ)

Sale Information	
Sale Price	$250,000
Date of Sale	Jul 23, 2025
Recording	2025-00013014
Grantor	Santa Cruz Properties West LLC
Grantee	Martinez Yenisbel Capote

Physical Description	
Land Size (AC)	2
Land Size (SF)	87,120
Corner	No
Frontage	Main
Surface	Caliche
Utilities	Part. Available

Key Indicators	
Sale Price / SF	**$2.87**
Sale Price / AC	$125,000.00

Comments

Sold for $250,000 on 7/23/2025. 2.00-acre lot (Lot 7). Includes power fencing and metered water line (non-potable).

Verified by MLS/CAD/Deeds (MLS #50075427)

Land SALE NO. 6

Property Information	
Address	11568 W Quinn Dr Odessa, TX 79763
APN	35500.03672.00000
Legal	WESTRIDGE BLOCK 23 LOT 23
Zoning	None (Inside ETJ)

Sale Information	
Sale Price	$65,000
Date of Sale	Oct 28, 2025
Recording	2025-00021211
Grantor	Phelps Daisy O Potts Ronda Attorney et al
Grantee	Gonzalez Mario Almaraz & Medina Amparo Martinez

Physical Description	
Land Size (AC)	1.04
Land Size (SF)	45,302
Corner	No
Frontage	Secondary
Surface	Raw
Utilities	Part. Available

Key Indicators	
Sale Price / SF	**$1.43**
Sale Price / AC	$62,500.00

Comments

Sold for $65,000 on 10/28/2025. 1.04-acre residential lot. Brush covered. Electricity on site. Fencing is in poor condition.

Verified by MLS/CAD/Deeds (MLS #162940)

COMPARABLE LAND SALES SUMMARY CHART

Column 1	1	2	3	4	5	6	Subj
Address	0 De La Renta Odessa	TBD 3rd St W Odessa	904 & 906 S Westcliff Rd Odessa	0 N Alfalfa Ave Gardendale	2920 S FM 866 Odessa	11568 W Quinn Dr Odessa	210 W 57th St Odessa
Date of Sale	Jul 2025	Apr 2025	Nov 2025	Jul 2025	Jul 2025	Oct 2025	Current
Land Size (AC)	1.00	4.48	4.00	2.54	2.00	1.04	2.54
Zoning	None (Inside ETJ)	None (Inside ETJ)	None (Inside ETJ)	None (Inside ETJ)	None (Outside ETJ)	None (Inside ETJ)	None (Inside ETJ)
Surface	Raw	Raw	Raw	Cleared	Caliche	Raw	Improved
Corner	Yes	No	No	No	No	No	No
Frontage	Dirt	Secondary	Secondary	Secondary	Main	Secondary	No
Utilities	None	None	Available	Part. Available	Part. Available	Part. Available	Available
Sale Price / AC	$45,000	$28,125	$31,250	$61,811	$125,000	$62,500	
Sale Price / SF	$1.03	$0.65	$0.72	$1.42	$2.87	$1.43	

Discussion of Land Sales

These land sales are a varied representation of land that brackets the subject property's size in the local market. They provide the most reliable and recent available evidence for determining the price an informed buyer would pay.

The actual pool of sales data is limited because Texas is a non-disclosure state, meaning transaction prices and details are not public record. Furthermore, many sales are conducted privately with attorneys and never listed in public databases.
While we've selected the best comparables, their prices show a wide range of values. We can attribute many differences to site-specific characteristics. However, after careful analysis, we recognize that some price premiums or discounts cannot be fully explained or reconciled by quantifiable differences (e.g., location, access, size) between the properties.

To account for these unexplained market variations and individual negotiation factors, six sales were incorporated. This approach averages out any extreme,

potentially anomalous differences, ensuring the final value conclusion is a more credible and defensible representation of fair market value.

No. 1, like the subject, is not zoned. It is located west of the city of Odessa outside the city limits but is in the ETJ. It is in an area with industrial acreage properties and some scattered residential. It does not have any utilities and is raw land. No. 2 is located west of the city of Odessa outside the city limits and the current ETJ. It does not have any utilities and is raw land. Sale No. 3 is located on a section of paved road in West Odessa, Ector County outside the city limits and inside of the ETJ of the City of Odessa surrounded by some commercial, residential, and vacant land. No. 4 is located in Ector County in Gardendale just off of Goldenrod (WCR 30). This land is subject to some deed restrictions that apply. This comparable was chosen due to being one of the only land sales east of the subject and due to it being the exact size of the subject property. Sale No. 5 is located West of the city of Odessa outside the city limits and the current ETJ in a developing commercial area. It is on a main FM road. Sale No. 6 is located west of the city of Odessa outside the city limits but is in the ETJ. It is in a more residential area but has mixed uses like the subject area.

Financing Terms

Sale No.'s 1-3, 5 & 6 were cash sales, Sale 4 was purchased with a conventional loan. Both of these terms are considered the same as a cash consideration. Therefore, no adjustment is warranted.

Market Conditions (Time)

Using multiple sales over the last three years from the local MLS systems, these are analyzed to determine a time/date of sale trend which is also called Market Condition Adjustments. Applying these trends obtained from the group analysis, the sales are adjusted at 6% per year or 0.5% per month.

Location

Overall, most of the properties have similar locations with each having advantages and possibly some negatives. No sales were found in the subject neighborhood so all of Odessa and the surrounding areas were searched to find the most similar locations and sizes. The location of the subject property is considered similar to most of the comparable sales. Those that differ substantially from the subject are Sales 1 & 6. Sale No. 1 is considered inferior to the subject based on the location on a dirt or caliche road rather than a paved road and not being directly intersected by a major roadway. A positive adjustment of 25% to bring this value up to be more like the subject is determined from several paired analyses. Sale No. 6 is considered

superior to the subject. It is on a main thoroughfare in a growing industrial area west of Odessa. Utilizing paired analysis, a negative 35% adjustment is found to bring it in line with the subject location.

Size

Typically, in real estate, the larger the property, the smaller the unit price. This seems to mostly hold true for the comparable sales. Multiple pairings and group analysis were utilized to determine that the two smallest land sizes warrant a 35% downward adjustment to equate to the subject larger land size. The next smallest land size warranted a negative 25% adjustment to bring it in line with the subject. Although it seems excessive after multiple pairings for the larger land sizes, an upward adjustment of 80% was utilized to bring these larger sites in line with the subject size. Only Sale No. 4 which was the exact same size as the subject was not adjusted for size.

Surface

All sales except sale No. 4 & 5 were considered raw land at the time of sale. Sale No. 4 was cleared and Sale No. 5 was caliche covered. When comparing the values relative to the surface for this group of comparable sales, only a slight adjustment is warranted for those considered inferior to the subject land surface. The subject is mostly caliche covered but also appears to have raw land patches as well.

Utilities

Availability and proximity of utilities such as electricity, water, and sewer can materially affect land value, especially for industrial or commercial use. Tracts lacking public utilities often transact at lower unit prices, reflecting the added expense a buyer must assume. In this analysis, some of the comps shared comparable utility availability or had only modest advantages or disadvantages relative to each of the subject land valuations. After analysis of the other factors of comparison, the utility's differences doesn't seem to be a significant point of adjustment for this set of comparables. Therefore, again only a small adjustment is made for the two properties lacking utilities.

Zoning

Zoning and the allowable uses under specific zoning classification can significantly influence land value. Properties with more flexible industrial or commercial zoning often sell at higher prices. In this case, the subject is in the ETJ (extraterritorial jurisdiction), with industrial/commercial utilities. None of the comparables are

within the city limits. Most are in the ETJ. All the comparables analyzed reflect a reasonably similar industrial or light-industrial utility and use potential. Therefore, no adjustments are warranted.

As the main variables of influence have been discussed, relative adjustments will be made in the charts below.

LAND SALES ADJUSTMENT CHART

	Subject	1	2	3	4	5	6
Address	**210 W 57th St**	**0 De La Renta Odessa**	**TBD 3rd St W Odessa**	**904 & 906 S Westcliff Rd Odessa**	**0 N Alfalfa Ave Gardendale**	**2920 S FM 866 Odessa**	**11568 W Quinn Dr Odessa**
Date of Sale	Current	Jul 2025	Apr 2025	Nov 2025	Jul 2025	Jul 2025	Oct 2025
Land Size (SF)	110,642	43,560	195,149	174,240	110,642	87,120	45,302
Sale Price / SF		$1.03	$0.65	$0.72	$1.42	$2.87	$1.43

TRANSACTION ADJUSTMENTS

Property Rights	Leased Fee	Similar	Similar	Similar	Similar	Similar	Similar
		0%	0%	0%	0%	0%	0%
		$1.03	$0.65	$0.72	$1.42	$2.87	$1.43
Financing Terms		Cash	Cash	Cash	Conventional	Cash	Cash
		0%	0%	0%	0%	0%	0%
		$1.03	$0.65	$0.72	$1.42	$2.87	$1.43
Conditions of Sale		Arm's Length	Arm's Length	Arm's Length	Arm's Length	Arm's Length	Arm's Length
		0%	0%	0%	0%	0%	0%
		$1.03	$0.65	$0.72	$1.42	$2.87	$1.43
Market Conditions	Current	Jul 2025	Apr 2025	Nov 2025	Jul 2025	Jul 2025	Oct 2025
		3%	4%	0%	3%	3%	0%
		$1.06	$0.68	$0.72	$1.46	$2.96	$1.43

PROPERTY ADJUSTMENTS

Location	Good	Inferior	Similar	Similar	Similar	Superior	Similar
		25%	0%	0%	0%	-35%	0%
Land Size (SF)	110,642	43,560	195,149	174,240	110,642	87,120	45,302
		-35%	80%	80%	0%	-25%	-35%
Surface	Improved	Inferior	Inferior	Inferior	Similar	Superior	Inferior
		3%	3%	3%	0%	0%	-3%
Utilities	Available	Inferior	Inferior	Similar	Similar	Similar	Similar
		3%	3%	0%	0%	0%	0%
Zoning	None (Inside ETJ)	Similar	Similar	Similar	Similar	Similar	Similar
		0%	0%	0%	0%	0%	0%
Total Adjustment		-4%	86%	83%	0%	-60%	-38%
Adjusted $ / SF		$1.02	$1.26	$1.32	$1.46	$1.18	$0.89
Adjusted Mean $ / SF							$1.19

A value generally in-line with the mean is well supported.

$ / SF	$1.19
$ / AC	$51,728

Land Size (SF)	110,642.40
Value Indication	$131,389
Concluded Value - Land	$131,000

Indicated market values are now charted in an ascending array.

Sale #	Indicated Market Value
6	$0.89
1	$1.02
5	$1.18
2	$1.26
3	$1.32
4	$1.46
Mean	$1.19

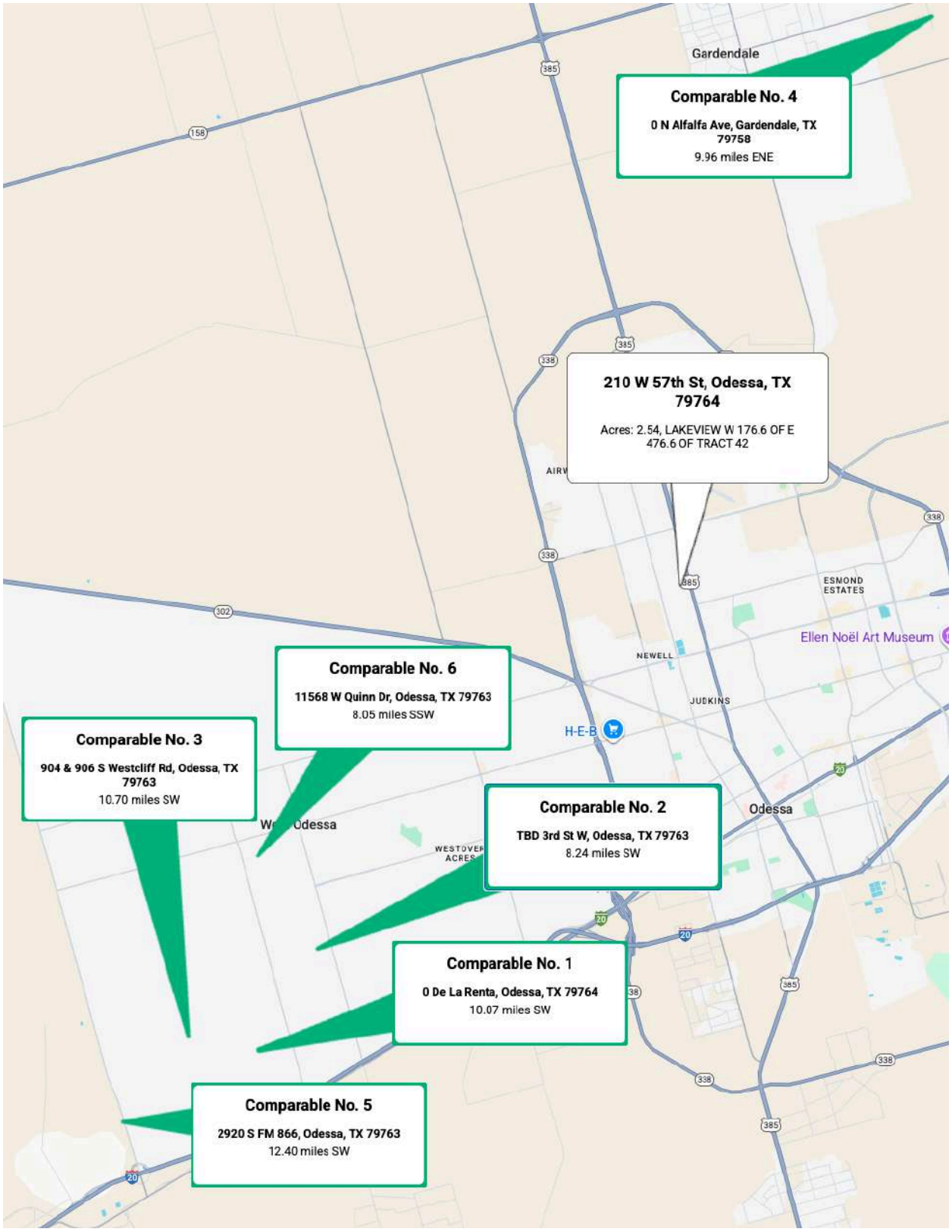
Comparable Land Sales Adjustments Summary

Based on these sales, the estimated range of value for the subject property improved land is from $0.89/SF to $1.46/SF. This translates to a per acreage range of $38,600/AC to $63,700/AC and means the improved land is valued between $131,389 and $161,702. The value is generally in-line with the mean and is considered well supported at $1.19/SF or $51,728/AC or $131,389.

Land Value via Sales Comparison Approach:

$131,000 R

COMPARABLE LAND SALES MAP



THE COST APPROACH

In the cost approach, the appraiser compares the cost to develop a new property or a substitute property with the same utility as the subject property. The cost approach reflects market thinking because market participants relate value to cost. Buyers tend to judge the value of an existing structure not only by considering the prices and rents of similar buildings but also by comparing the cost to create a new building with optimal physical condition and functional utility.

Subject's reproduction cost is estimated by use of the Marshall-Swift cost estimating service in addition to some actual costs of the property development when available or provided. The contractor's overhead and profit are included in the estimate. As applicable cost figures are obtained, the current and local adjustments are made.

The Calculator Costs obtained from the Marshall & Swift are averages of final costs including architects' fees and contractor's overhead and profit, sales taxes, permit fees and insurance during construction, as well as interest on interim construction financing. The appraiser deems the National Service estimation (Marshall & Swift) as credible and reasonable and will be utilized. These building costs along with Market derived site improvements are utilized in the swift estimator.

An Entrepreneurial Profit is added to the estimated cost "new" of the improvements. This profit is defined as a "market-derived figure that represents the amount an entrepreneur receives for his or her contribution to a project and risk; the difference between the total cost of a property (cost of development) and its market value (property value after completion), which represents the entrepreneur's compensation for the risk and expertise associated with development".

Consultations with developers of similar properties indicate entrepreneurial profits ranging from 5% to 20%; however, this element is for the most part captured in the contractors profit (which is included in the Marshall-Swift service) since many of the contractors in the area are also the sellers or lessors of the properties. In addition, some entrepreneurial incentive is captured in the land value as well. In addition, since the property has an effective age of 30 years old, the entrepreneurial profit has already been realized. Therefore, no additional entrepreneurial profit is added.

<u>Depreciation</u>

All types of depreciation of the subject improvements were considered.

Depreciation is defined by The Appraisal of Real Estate, 12th Edition, American Institute of Real Estate Appraisers, as:

"The difference between the contributory value of an improvement and its cost at the time of appraisal."

Accrued depreciation is divided into three basic categories: physical deterioration, functional obsolescence, and external obsolescence. A discussion of each type of depreciation and the amount applicable to the subject property follows.

<u>Accrued Depreciation Definitions</u>

1. **Physical Deterioration** can be divided into curable and incurable categories.
    - Curable physical deterioration is described as that loss in value from cost new, which can be recovered or offset through correction, repair or replacement of the defective items causing the loss. According to The Appraisal of Real Estate, "An observed condition in the improvements to be appraised is considered curable if the cost of correcting the condition would offset by an equal or greater increase in value."
    - Incurable physical deterioration, on the other hand, is described as a loss in value from cost new that is not practical or currently feasible to correct. This type of deterioration is sub-classified as long-lived and short-lived.
2. **Functional Obsolescence** is described by The Appraisal of Real Estate as a loss in value from cost new which is caused by a superadequacy, inadequacy, unattractive style, poor or inefficient layout or design. The design and materials used in the construction should not differ greatly from those used currently.
    - Curable functional obsolescence is subclassified as (a) deficiency requiring additions, (b) deficiency requiring substitution or modernization, and (c) superadequacy. The measure of curable functional obsolescence is the cost to effect the cure. Incurable functional obsolescence refers to a superadequacy and/or deficiency which is not economically feasible to cure.
        - A deficiency is measured by the net income loss attributable to the deficiency by comparison with otherwise competitive properties. This net income loss is divided by the building

capitalization rate. Subject property has remedied the flooding deficiency with a retaining wall on the north side of the office/shop building.

- A super adequacy is measured by capitalizing the net income loss due to the super adequacy.

3. **External Obsolescence** is described by The Appraisal of Real Estate as the loss in value of a property due to negative external influences, which can result from neighborhood, a property's location, or general market conditions.

    - Two methods can be used to measure external obsolescence.

        - (1) capitalize the income or rent loss attributable to the negative influence or

        - (2) compare sales of similar properties that are subject to the negative influence and others that are not.

<u>Accrued Depreciation Application</u>

1. Physical Deterioration
    - The subject property is appraised "As is" with an effective age of 30 years. The depreciation is included in the Marshall and Swift estimation below.
    - Functional Obsolescence
    - The subject is considered 30 years old with no functional depreciation applicable to either.
2. External Obsolescence
    - There is inadequate market evidence to suggest an external obsolescence factor. Newer facilities as a whole are showing little, if any, external obsolescence. No external obsolescence will be applied to the subject property.

The cost schedule generated by swift estimator follows. This value of the property improvements is added to the estimated land value to arrive at an indication of value by the cost approach.

Improvement Cost Estimation via Swift Estimator

General Information

Estimate ID:	210 W 57th ST	**Date Created:**	12-12-2025
Property Owner:	Jim Kirk	**Date Updated:**	12-12-2025
Property Address:	210 W 57th St Odessa, TX 79764	**Date Calculated:**	12-15-2025
Local Multiplier:	0.87	**Cost Data As Of:**	12-2025
Architects Fee:		**Report Date:**	12-2025

Section 1

Area	14868	**Overall Depreciation %**	
Stories in Section	1	**Physical Depreciation %**	
Stories in Building	1	**Functional Depreciation %**	
Shape	rectangular	**External Depreciation %**	
Perimeter	(auto-calc)		
Effective Age	30		

Occupancy Details

Occupancy	%	Class	Height	Quality
495 Industrials, Heavy Mftg.	90	S	22	2.5
993 Interior Space, Office	10	S	10	2.5
Occupancy Total Percentage	100			

System : HVAC (Heating)

	%/Units	Quality	Depr %	Other
617 HVAC (Heating) : Complete HVAC	100	2.0		2
Total Percent for HVAC (Heating):	**100**			

System : Land and Site

	%/Units	Quality	Depr %	Other
7006 Land and Site : Bumpers, Parking Lot	60	2.0		
7003 Land and Site : Paving, Concrete, Reinforced	2907	2.0		
7001 Land and Site : Paving, Asphalt	9380	2.0		
7117 Land and Site : Fence, Chain Link	846	2.0		
7142 Land and Site : Barbed Wire (Add)	141	Occ.		
7119 Land and Site : Gate, Chain Link	360	Occ.		
7117 Land and Site : Fence, Chain Link	870	1.5		

Addition Details

Addition	Units	Cost	Depr %	LM	Base Date
Extra 1 Ton jib Cranes	6	$1,600		N	12-2025
Extra 5 Ton Overhead Crane	1	$28,000		N	12-2025
Extra 3 Ton Overhead Bridge Crane	1	$20,000		Y	12-2025

Calculation Information (All Sections)

	Units	Unit Cost	Total Cost New	Less Depreciation	Total Cost Depreciated
Basic Structure					
Base Cost	14,868	$145.89	$2,169,093	$976,092	$1,193,001
Exterior Walls	13,381	$15.05	$201,384	$90,623	$110,761
Heating & Cooling	14,868	$30.97	$460,462	$207,208	$253,254
Basic Structure Cost	**14,868**	**$190.40**	**$2,830,939**	**$1,273,923**	**$1,557,016**
Extras					
1 Ton jib Cranes	6	$1,600.00	$9,600	$4,320	$5,280
5 Ton Overhead Crane	1	$28,000.00	$28,000	$12,600	$15,400
3 Ton Overhead Bridge Crane	1	$17,400.00	$17,400	$7,830	$9,570
Replacement Cost New	**14,868**	**$194.10**	**$2,885,939**		
Less Depreciation					
Physical & Functional	45.0%			$1,298,673	$1,587,266
Depreciated Cost	**14,868**	**$106.76**		**$1,298,673**	**$1,587,266**
Miscellaneous					
Bumpers, Parking Lot	60	$8.30	$498		$498
Paving, Concrete, Reinforced	2,907	$7.65	$22,239		$22,239
Paving, Asphalt	9,380	$3.05	$28,609		$28,609
Fence, Chain Link	846	$3.83	$3,240		$3,240
Barbed Wire (Add)	141	$4.02	$567		$567
Gate, Chain Link	360	$18.05	$6,498		$6,498
Fence, Chain Link	870	$3.56	$3,097		$3,097
Total Cost	**14,868**	**$198.46**	**$2,950,687**	**$1,298,673**	**$1,652,014**

Cost data by CoreLogic, Inc.

COST APPROACH SCHEDULE

The costs are as obtained from the Swift Estimator Online service along with site improvement actual costs when applicable. To this is added the land value.

Improvements		
Total Reproduction Cost New		$ 2,950,687.00
Less: Total Accrued Depreciation		$ (1,298,673.00)
Entrepreneurial Profit already realized		$ 1,652,014.00
Land (via Land Sales Comparison Approach)		
Improved Land	$131,000.00	
Total Land Value		$ 131,000.00
Value Indication	Via Cost Approach	$1,783,014
Concluded Value		**$1,783,000**

SALES COMPARISON APPROACH

Several comparable sales have been obtained for comparative purposes with the subject property. The following pages contain the specific information regarding these sales. Estimated lease rates to determine applicable cap rates are based upon similar lease rates (market rates) to each individual property at time of sale obtained from leasing agents and lease listings. Actual lease rates are used when available. The following sales are considered the best sales available.

COMPARABLE SALE NO. 1

Property Information	
Address	4405 N County Road West Odessa, TX 79764
APN	34600.00551.00000
Legal	WESTERN PLAINS BLOCK 9 LOTS 5-7
Type	Industrial
Land Size (AC)	1.143
Zoning	None (Inside ETJ)

Property Improvements	
Bld Size (SF)	13,800
Year Built	1972
Effective Age	53.0
Condition	Average
Land / Bld	3.61
Construction	
Other Features	
12'x12' (x2), 13'x12' (x2) Overhead Doors, No Wash Bay, Hoist Ready Hoisting. 3-phase power	

Sale Information	
Sale Price	$700,000
Date of Sale	Jun 17, 2025
Recording	2025-00010087
Grantor	Noll Family Properties LLC
Grantee	Layman Sean LLC dba Lone Star Gasket

Income Analysis	
Potential Gross Income	$108,000
Less: Vacancy	-$10,800.00
Effective Gross Income	$97,200.00
Less: Expenses	-$23,206.04
Net Operating Income	$73,993.96

Key Indicators	
Sale Price / SF	**$50.72**
Gross Income Multiplier	$7.20
Overall Cap Rate	**10.57%**

Inputs	
Rent / SF	$7.83
Vacancy %	10%

Comments

Sold for $700,000 on 6/17/2025. 13,825 SF facility on 1.143 AC. Features front and rear loading doors, 3-phase power, and a hoist. Owner financing.

Verified by MLS/CAD/Deeds (MLS #159234)

COMPARABLE SALE NO. 2

Property Information	
Address	3633 Andrews Hwy Odessa, TX 79762
APN	28300.00020.00000
Legal	SALYARD BLOCK 2 LOT 1
Type	Commercial/Industrial
Land Size (AC)	2.61
Zoning	LC, Light Commercial

Property Improvements	
Bld Size (SF)	12,590
Year Built	1970, 2003, 2004
Effective Age	24.8
Condition	Average
Land / Bld	9.03
Construction	
Other Features	

x7 Overhead Doors, No Wash Bay, 1T Jib (x2) Hoisting. Chain link fencing

Income Analysis	
Potential Gross Income	$189,600
Less: Vacancy	-$18,960.00
Effective Gross Income	$170,640.00
Less: Expenses	-$32,264.96
Net Operating Income	$138,375.04

Key Indicators	
Sale Price / SF	**$93.33**
Gross Income Multiplier	$6.89
Overall Cap Rate	**11.78%**

Sale Information	
Sale Price	$1,175,000
Date of Sale	Jan 03, 2025
Recording	2025-00000420
Grantor	Huckabay Industries Inc
Grantee	Perez Jose & Molina Lourdes Jasmin

Inputs	
Rent / SF	$15.06
Vacancy %	10%

Comments

Sold for $1,175,000 on 1/3/2025. Complex includes a main showroom (8,580 SF), back shop (2,680 SF), and west shop (1,330 SF). Also features extensive covered storage (16,695 SF). Exact overhead door sizes unknown.

Verified by Realtor (Francine Grimsley, MLS #154193)

COMPARABLE SALE NO. 3

Property Information	
Address	2724 W 40th St Odessa, TX 79764
APN	21350.00245.00000 21350.00260.00000
Legal	NORTHWEST ACRES BLOCK 2 LOTS 23-24 & E 95.2 OF LOT 25 NORTHWEST ACRES BLOCK 2 LOT 25 LESS E 95.2
Type	Industrial
Land Size (AC)	2.4
Zoning	None (Inside ETJ)

Property Improvements	
Bld Size (SF)	9,574
Year Built	1960, 1974, 1976, 1978
Effective Age	50.5
Condition	Average
Land / Bld	10.92
Construction	
Other Features	

x4 Overhead Doors, Wash Bay, 2T Hoisting. 6 Separate workshops/storage building, covered carport

Income Analysis	
Potential Gross Income	$72,000
Less: Vacancy	-$7,200.00
Effective Gross Income	$64,800.00
Less: Expenses	-$19,243.85
Net Operating Income	$45,556.15

Key Indicators	
Sale Price / SF	**$49.61**
Gross Income Multiplier	$7.33
Overall Cap Rate	**9.59%**

Sale Information	
Sale Price	$475,000
Date of Sale	Jan 19, 2024
Recording	2024-00000980
Grantor	Daniel Diaz Fleet LLC
Grantee	Silver City Holdings LLC

Inputs	
Rent / SF	$7.52
Vacancy %	10%
Land Value / AC	

Comments

Sold for $475,000 on 1/19/2024. Property consists of two parcels and includes 6 separate buildings. MLS indicates 12,839 SF total, while CAD details ~9,574 SF of enclosed space plus a 2,304 SF canopy. Includes office, machine shops, and wash bay.

Verified by MLS/CAD/Deeds (MLS #143000)

COMPARABLE SALE NO. 4

Property Information	
Address	2627 N Marco Ave Odessa, TX 79762
APN	18100.00540.00000 18100.00550.00000 18100.00560.00000
Legal	MARCO INDUSTRIAL SITES BLK 4 LOT 4-6
Type	Office/Warehouse
Land Size (AC)	2.754
Zoning	Future Development (Inside ETJ)

Property Improvements	
Bld Size (SF)	17,770
Year Built	1983
Effective Age	42.0
Condition	Average
Land / Bld	6.75
Construction	Metal
Other Features	

14x14 (x6) Overhead Doors, Wash Bay, 5T Hoisting. 3-phase electric, fenced yard, paved yard

Income Analysis	
Potential Gross Income	$243,120
Less: Vacancy	-$24,312.00
Effective Gross Income	$218,808.00
Less: Expenses	-$33,792.09
Net Operating Income	$185,015.91

Key Indicators	
Sale Price / SF	**$92.85**
Gross Income Multiplier	$7.54
Overall Cap Rate	**11.21%**

Sale Information	
Sale Price	$1,650,000
Date of Sale	Jul 16, 2024
Recording	2024-00012409
Grantor	JLS Business Properties, Ltd
Grantee	2627 N Marco LLC

Inputs	
Rent / SF	$13.68
Vacancy %	10%

Comments

Sale consists of three parcels. Building and land sizes sourced from Ector CAD. Sale price and date from MLS and Ector CAD.

Verified by MLS/CAD/Deeds (MLS #150782)

COMPARABLE SALE NO. 5

Property Information

Address	2150 W 38th St Odessa, TX 79764
APN	13600.00970.00000 13600.00970.01000
Legal	HARRISDALE BLOCK 8 LOTS 7-10 LESS 0.5 ACRE DRILL SITE
Type	Industrial
Land Size (AC)	4.06
Zoning	None (Inside ETJ)

Property Improvements

Bld Size (SF)	17,670
Year Built	1956
Effective Age	69.0
Condition	Average
Land / Bld	10.01
Construction	
Other Features	

14'x16' (x4) Overhead Doors, No Wash Bay, 3T (x2) Hoisting

Sale Information

Sale Price	$760,000
Date of Sale	Dec 29, 2023
Recording	2024-00000271
Grantor	Underwood Family Limited Partnership LTD
Grantee	Toro Field Services LLC

Income Analysis

Potential Gross Income	$126,000
Less: Vacancy	-$12,600.00
Effective Gross Income	$113,400.00
Less: Expenses	-$37,981.04
Net Operating Income	$75,418.96

Key Indicators

Sale Price / SF	**$43.01**
Gross Income Multiplier	$6.70
Overall Cap Rate	**9.92%**

Inputs

Rent / SF	$7.13
Vacancy %	10%

Comments

Sold for $760,000 on 12/29/2023. Includes 2 parcels totaling ~4.06 acres. Improvements consist of a 2,500 SF office, 13,540 SF main shop with two 3-ton cranes, and a 1,630 SF warehouse. Property was vacant at sale. Post-sale additions (2025) noted in CAD are excluded from sale analysis.

Verified by MLS/CAD/Deeds (MLS #140035)

COMPARABLE SALES SUMMARY CHART

Sale #	1	2	3	4	5	Subj
Address	4405 N County Road West Odessa	3633 Andrews Hwy Odessa	2724 W 40th St Odessa	2627 N Marco Ave Odessa	2150 W 38th St Odessa	210 W 57th St Odessa
Property Rights	Fee Simple	Fee Simple	Fee Simple	Fee Simple	Fee Simple	Leased Fee
Date of Sale	Jun 2025	Jan 2025	Jan 2024	Jul 2024	Dec 2023	Current
Land Size (AC)	1.14	2.61	2.40	2.75	4.06	2.54
Building Size (SF)	13,800	12,590	9,574	17,770	17,670	14,868
Sale Price / SF	$50.72	$93.33	$49.61	$92.85	$43.01	
Land / Bld Ratio	3.61	9.03	10.92	6.75	10.01	7.44
Age	53	25	51	42	69	30
Condition	Average	Average	Average	Average	Average	Average
Year Built	1972	1970, 2003, 2004	1960, 1974, 1976, 1978	1983	1956	1982
Office %	14.5%	68.1%	11.3%	21.4%	14.1%	10.4%
Hoisting	Hoist Ready	1T Jib (x2)	2T	5T	3T (x2)	5T, 3T Overhead, 1T Jib (x6)

Discussion of Improved Sales

The appraiser analyzed various sales throughout Odessa. The sales utilized and summarized in the chart above were the most comparable sales available. Many market participants have confidential sales information in this non disclosure state. Comparable sales are in Odessa, Ector County, Texas. The sizes of the comparables bracket the subject size. The sales have different effective ages and conditions and varying amenities. These factors will be analyzed to determine necessary adjustments.

Inherent in comparable sales data typically include such factors as property rights conveyed, financing considerations, expenditures after the sale, market condition, and miscellaneous amenities. Miscellaneous amenities include such factors as office ratio, hoist, wash bays and location. Adjusting for variable differences is at best difficult. The following is a list of variables and discussion of each.

Property Rights Conveyed/Conditions of Sale

All the sales were basically arms-length cash to sellers at typical rate transactions. Subject property is currently leased so must be appraised as a leased fee property rights. Although some of these sales may be leased at some time, it is unknown if any were leased at the time of sale but no information is given to reflect that they were leased. The property rights for all of the comparables are considered fee simple, surface only. There are times when available sales are leased and because this is considered an encumbrance to the property a property can sell for less. There are other times that when a lease is in place at a market or higher than market rent that a leased fee right sells for more. There is no data available with the comparable sales to give an indication that the property rights affect the sales prices so no adjustment is made for the property rights. In relation to the condition of sales, only Sale No. 2 was sold as an owner finance while the others were cash or conventional loan. Since the differences between these financing arrangements do not seem to affect the sales price after paired analysis, no adjustment is made of conditions of sale.

Market Conditions (Time)

Normal trends existed during the time frame of these sales with normal ebb and flow with slight increases and slight decreases. Overall however, there has been a slight increase. The overall adjustments for date of sale are slight at 6% per year or 0.5% per month.

Location

The locations of these sales are in various locations in Odessa. A paired sales analysis of the comparable data indicates distinct value tiers based on geographic location (East vs. West Odessa) and street exposure (Thoroughfare vs. Secondary Street). The Subject is located in West Odessa on a secondary street. The following adjustments were applied to account for these variances:

- **East Odessa / Loop 20 Variance (Comparable 4):** Comparable 4 is located approximately 5.73 miles east of the Subject in a superior market area near Faudree Rd and Business Loop 20. The market data indicates a significant premium for this location. While the Subject (Built 1982) and Comparable 4 (Built 1983) are of similar vintage, Comparable 4 sold for $92.85/SF compared to the West Odessa baseline average of $46.31/SF (derived from Comps 3 & 5). This represents a premium of approximately 100%. A negative location

adjustment of -45% has been applied to Comparable 4 to reflect the superior industrial density and higher land values associated with the East Odessa/Loop 20 submarket.

- **Major Thoroughfare Variance (Comparable 2):** Comparable 2 is located on Andrews Hwy, a major commercial thoroughfare. This location offers superior visibility and traffic counts compared to the Subject's location on W 57th St. The unadjusted sale price of $93.33/SF supports a value ceiling similar to the East Odessa market. Consequently, a negative location adjustment of -40% was applied to account for the superior commercial exposure and accessibility, distinct from the adjustment applied for its superior office finish.
- **Main Road Variance (Comparable 1):** Comparable 1 is located on N County Rd W, a primary north-south arterial in West Odessa. Although geographically close (1.22 miles SW), the arterial frontage commands a slight premium over secondary streets like W 57th St. The sale price of $50.72/SF relative to the secondary street baseline ($46.31/SF) indicates a premium of approximately 9.5%. A negative location adjustment of -10% has been applied to Comparable 1 to align it with the Subject's secondary street utility.
- **West Odessa / Secondary Streets (Comparables 3 & 5):** Comparables 3 and 5 are located on W 40th St and W 38th St, respectively. These locations possess similar street utility, access, and neighborhood influence to the Subject on W 57th St. No location adjustments were warranted for these sales.

Age/Condition

The condition of the properties does seem to impact these sales prices for the improvements. Utilizing paired sales from the sales in this report and other sales in the appraiser's file, a positive adjustment is indicated for Sale No. 's 1, 3 and 5, as the effective ages are deemed to be lower than the subject based on observation of the MLS photos, and mapping programs. These adjustments seem reasonable for this factor due to the possibility that this adjustment also includes other variables not specifically adjusted.

Size

The Subject property comprises 14,868 SF of gross building area. Real Estate Principles typically dictate an inverse relationship between size and price per square foot (Economies of Scale)—meaning smaller buildings generally trade for a higher unit price, and larger buildings trade for a lower unit price. Linear regression

of the dataset confirmed a downward slope in value as size increases.

- **Smaller Comparables:** Sale No. 3 (9,574 SF) and Sale No. 2 (12,590 SF) are smaller than the Subject. Consistent with the principle of economies of scale, these sales required downward adjustments of -5% and -2% respectively to account for their higher unit pricing. Sale No. 1 (13,800 SF) is within 10% of the Subject's size; therefore, no adjustment was required.
- **Larger Comparables:** Sale No. 4 (17,770 SF) and 5 (17,670 SF) are larger than the Subject. A positive adjustment of +3% was applied to both to account for the discount typically seen in larger bulk transactions.

Land to Building Ratio

The Subject features a land-to-building ratio of 7.44:1, providing adequate yard space for industrial operations. Market analysis indicates a positive correlation between higher land ratios and price per square foot.

- **Low Land Ratio:** Sale No. 1 has a ratio of 3.61:1, indicating a significantly smaller yard relative to its building footprint. A positive adjustment of +3% was applied to account for this inferior utility.
- **High Land Ratio:** Sale No. 3 (10.92:1) and 5 (10.01:1) feature significantly more excess land relative to their improvements. Downward adjustments of -3% and -2% respectively were applied to align them with the Subject's land utility. Sale No. 2 (9.03:1) required a minor -1% adjustment, while Sale No. 4 (6.75:1) was similar enough to warrant no adjustment.

Office Ratio/Hoist

These two factors address the specific build-out and industrial utility of the improvements.

- **Office Ratio:** The Subject features a typical industrial office build-out of 10.4%. Most comparables have similar office ratios ranging from 11% to 21%, requiring no adjustment. However, Sale No. 2 features a heavy office build-out of 68.1% (showroom/flex finish). A downward adjustment of -2% was applied to Sale No. 2 to account for this superior finish level, noting that a portion of this premium was also captured in the location/market tier adjustment.
- **Hoisting (Cranes):** The Subject is well-equipped with a 5-ton crane, a 3-ton

crane, and six 1-ton jib cranes, representing a significant contributory value (estimated at ~$30,000 depreciated cost). All comparables were inferior regarding crane capacity.

- **Sale No. 1 (No Cranes):** Required a large upward adjustment of +4%.
- **Sale No. 2, 3, 4, & 5:** These sales possessed some lifting capacity but were inferior to the subject in varying degrees. Positive adjustments ranging from +1% to +6% were applied based on the calculated difference in the contributory value of the crane systems relative to the sale price.
- ***Note**: Percentage adjustments vary based on the sale price. Sale No. 3 requires a higher percentage adjustment (+6%) than Sale No. 1 (+4%) simply because Sale No. 3 sold for a much lower price, making the fixed cost of the cranes a larger proportion of the total deal.*

As the significant elements of comparison have been discussed and analyzed, they are shown in the chart below.

SALES ADJUSTMENT CHART

	Subject	1	2	3	4	5
Address	**210 W 57th St**	**4405 N County Road West Odessa**	**3633 Andrews Hwy Odessa**	**2724 W 40th St Odessa**	**2627 N Marco Ave Odessa**	**2150 W 38th St Odessa**
Date of Sale	Current	Jun 2025	Jan 2025	Jan 2024	Jul 2024	Dec 2023
Building Size (SF)	14,868	13,800	12,590	9,574	17,770	17,670
Sale Price / SF		$50.72	$93.33	$49.61	$92.85	$43.01
TRANSACTION ADJUSTMENTS						
Property Rights	Leased Fee	Similar	Similar	Similar	Similar	Similar
		0%	0%	0%	0%	0%
		$50.72	$93.33	$49.61	$92.85	$43.01
Financing Terms		Similar	Similar	Similar	Similar	Similar
		0%	0%	0%	0%	0%
		$50.72	$93.33	$49.61	$92.85	$43.01
Conditions of Sale		Arm's Length	Arm's Length	Arm's Length	Arm's Length	Arm's Length
		0%	0%	0%	0%	0%
		$50.72	$93.33	$49.61	$92.85	$43.01
Market Conditions	Current	Jun 2025	Jan 2025	Jan 2024	Jul 2024	Dec 2023
		3%	6%	12%	9%	12%
		$52.24	$98.93	$55.56	$101.21	$48.17
PROPERTY ADJUSTMENTS						
Location	Good	Superior	Superior	Similar	Superior	Similar
		-10%	-40%	0%	-45%	0%
Age / Condition	30 Average	Inferior	Similar	Inferior	Similar	Inferior
		15%	0%	15%	0%	15%
Building Size (SF)	14,868	13,800	12,590	9,574	17,770	17,670
		0%	-2%	-5%	3%	3%
Hoisting	5T, 3T Overhead, 1T Jib (x6)	Hoist Ready	1T Jib (x2)	2T	5T	3T (x2)
		4%	2%	6%	1%	2%
Land / Bld Ratio	7.44	3.61	9.03	10.92	6.75	10.01
		3%	-1%	-3%	0%	-2%
Office %	10.4%	14.5%	68.1%	11.3%	21.4%	14.1%
		0%	-2%	0%	0%	0%
Net Property Adjustment		12%	-43%	13%	-41%	18%
Adjusted $ / SF		$58.51	$56.39	$62.79	$59.71	$56.84
Adjusted Mean $ / SF						$58.85

A value generally in-line with the mean is well supported. $58.90

Improvement Size (SF)	14,868
Value Indication	$875,725
Concluded Value - Site and Improvements	$880,000

Indicated market values are now charted in an ascending array.

Sale #	Indicated Market Value
2	$56.39
5	$56.84
1	$58.51
4	$59.71
3	$62.79
Mean	$58.85

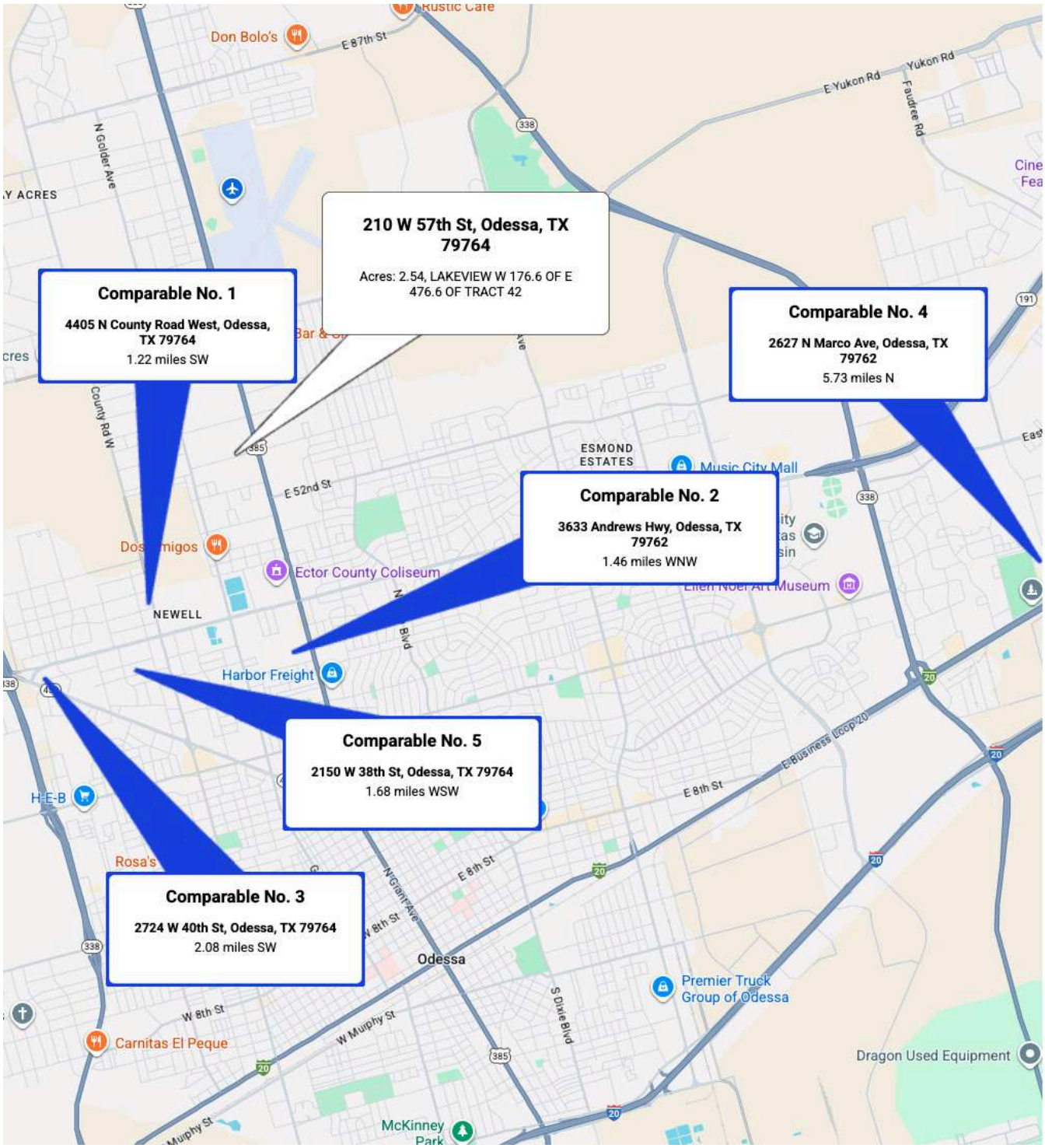
Comparable Sales Adjustments Summary

Based on these sales, the indicated range of value for the subject property is $56.39/SF to $62.79/SF. This means the property is valued between $872,860.64 and $978,770.98. The value is generally in-line with the mean and is considered well supported at $58.90/SF or $875,725.20.

Final Value via Sales Comparison Approach:

$880,000 R

COMPARABLE SALES MAP



INCOME CAPITALIZATION APPROACH

The Income Capitalization Approach is the third method used in estimating an indication of value for the property.

In using the Income Capitalization to value, the appraiser(s) derive a value indication for income-producing properties by analyzing the properties' capacity to generate benefits and converting these benefits into an indication of present value.

The rentals in the following chart were obtained for comparative purposes in order to abstract the subject property's gross potential market rent.

RENT COMPARABLE NO. 1

Property Information	
Address	14661 W I-20 Odessa, TX 79766
APN	01843.00050.00000
Legal	S-1 T&P BLK 42 T2S TR 5 (CARD 1 OF 3)
Type	Industrial/Office
Land Size (AC)	6.075
Zoning	None (Outside ETJ)

Property Improvements	
Constr. Type	Metal
Rentable SF	17,760
Parking (SF)	40,000
Year Built	2023
Effective Age	2.0
Condition	Good
Land / Bld	14.90
Occupancy %	100%

Other Features

16x18 (x8) Overhead Doors, Wash Bay, 5T (x2) Hoisting Ready. Three drive through bays

Lease Analysis	
Lessor	4M LLC
Tenant	Confidential
Tenant Structure	Individual
Lease Start	October 1, 2025
Lease Term	84
Expense Structure	NNN
% Increase / Year	6%
Rent / SF / Year	**$16.89**

Comments

Lease is for Lot 5 (6.0750 AC) only.The current lease has 6% annual increases starting in year 4. Land size from CAD (6.075 AC). 1st floor offices and 2nd floor apartment. restrooms in shop and 2nd story has a shower and washer / dryer hookup. 3 drive thru bays plus washbay. Highway frontage.

Verified by Realtor (Cassandra Pearce)

RENT COMPARABLE NO. 2

Property Information	
Address	14521 W I-20 Odessa, TX 79766
APN	01843.00010.00000
Legal	S-1 T&P BLK 42 T2S TR 1
Type	Industrial/Office
Land Size (AC)	4.634
Zoning	None (Outside ETJ)

Property Improvements	
Constr. Type	Metal
Rentable SF	18,000
Parking (SF)	40,000
Year Built	2022
Effective Age	3.0
Condition	Good
Land / Bld	11.21
Occupancy %	100%
Other Features	
16x18 (x6) Overhead Doors, Wash Bay, 5T (x2) Hoisting Ready. Three drive through bays, chain link fence and auto gate	

Lease Analysis	
Lessor	4 M LLC
Tenant	Think Tank LLC
Tenant Structure	Individual
Lease Start	June 1, 2025
Lease Term	36
Expense Structure	NNN
% Increase / Year	
Rent / SF / Year	**$16.00**

Comments

Land size from CAD (4.634 AC). Wash bay, set up for 2 5 ton sliding cranes, 3 drive thru bays, 3 phase- 480 Volt power. Fully fenced yard (chain link) with caliche surface. 31' auto gate with keyless entry. Metered water system with water well. Highway frontage.

Verified by Realtor (Cassandra Pearce, MLS #50081143)

RENT COMPARABLE NO. 3

Property Information	
Address	3901 N Stowe Odessa, TX 79764
APN	28880.00270.00000 28880.00320.00000 28880.00330.00000 28880.00340.00000
Legal	SKYLARK INDUSTRIAL PARK, BLK 3, LOT 5, 10-12
Type	Industrial/Office
Land Size (AC)	4.0239
Zoning	None (Inside ETJ)

Property Improvements	
Constr. Type	Metal
Rentable SF	10,040
Parking (SF)	7,480
Year Built	2014
Effective Age	11.0
Condition	Good
Land / Bld	17.46
Occupancy %	100%

Other Features

16x18 (x5) Overhead Doors, No Wash Bay, 5T (x2) Hoisting Available with Cranes. Five drive-in bays, 3-phase 480V power, fencing

Lease Analysis	
Lessor	CNR MENDOZA PROPERTIES LLC
Tenant	Confidential
Tenant Structure	Individual
Lease Start	March 1, 2025
Lease Term	12
Expense Structure	NNN
% Increase / Year	
Rent / SF / Year	**$14.94**

Comments

Rental consists of 4 separate parcels. Data combined from Ector County CAD and MLS listing. Current lease term is 12 months with option to extend an additional year.

Verified by Realtor (Marie Fuentes, MLS #156299)

RENT COMPARABLE NO. 4

Property Information	
Address	5261 W Murphy St Odessa, TX 79763
APN	24285.00020.00000
Legal	PERMIAN PARK SUB BLOCK 1 LOT 2
Type	Industrial
Land Size (AC)	5.506
Zoning	LI, Light Industrial District

Property Improvements	
Constr. Type	Metal
Rentable SF	19,032
Parking (SF)	79,352
Year Built	2024
Effective Age	1.0
Condition	Good
Land / Bld	12.60
Occupancy %	100%
Other Features	
Highway frontage, 2 story offices, Auto Gate, Covered Parking	

Lease Analysis	
Lessor	LOEPKY JOHN & NETA REVOCABLE TRUST
Tenant	Hydril USA Distribution LLC
Tenant Structure	Individual
Lease Start	May 7, 2025
Lease Term	12
Expense Structure	NNN
% Increase / Year	0%
Rent / SF / Year	**$20.81**

Comments

Frontage on W Murphy St. MLS: Rented 5/7/2025. New construction. Washbay with tank. 4-6 months from April 2025 for occupancy certificate.

Verified by Realtor (Cassandra Pearce, MLS #50081181)

RENT COMPARABLE NO. 5

Property Information	
Address	10901 W County Rd 125 Odessa, TX 79765
APN	R000007836 R000007834
Legal	Acres: 1.913, NW/4, SEC: 18, BLK: 40-T2S Acres: 1.283, NW/4, SEC: 18, BLK: 40-T2S
Type	Industrial
Land Size (AC)	3.196
Zoning	None (Inside ETJ)

Property Improvements	
Constr. Type	Brick / Metal
Rentable SF	15,000
Parking (SF)	5,100
Year Built	1982, 2013
Effective Age	39.0
Condition	Average
Land / Bld	9.28
Occupancy %	100%
Other Features	
Canopy, Paved Parking	

Lease Analysis	
Lessor	CUTHBERT CENTER LTD
Tenant	TRUE SHOT LLC
Tenant Structure	Individual
Lease Start	February 1, 2023
Lease Term	36
Expense Structure	NNN
% Increase / Year	0%
Rent / SF / Year	**$9.60**

Comments

Lease started in 2016. Most recent renewal for 3 years expires 02/2026. 3T Crane Ready (estimated). Oil field service, shop faces highway 80

Verified by Janette Midkiff

INDUSTRIAL RENTAL SUMMARY CHART

Rental #	1	2	3	4	5	Subj
Address	14661 W I-20 Odessa	14521 W I-20 Odessa	3901 N Stowe Odessa	5261 W Murphy St Odessa	10901 W County Rd 125 Odessa	210 W 57th St Odessa
Land / Bld Ratio	14.90	11.21	17.46	12.60	9.28	7.44
Rentable SF	17,760	18,000	10,040	19,032	15,000	14,868
Land Size (AC)	6.08	4.63	4.02	5.51	3.20	2.54
Age	2	3	11	1	39	30
Condition	Good	Good	Good	Good	Average	Average
Office %	32.4%	31.1%	20.8%	26.4%	23.3%	10.4%
Wash Bay	Yes	Yes	No	Yes	No	No
Hoisting	None	None	5T (x2)	10T (x2)	3T	5T, 3T Overhead, 1T Jib (x6)
Rent / SF / Year	$16.89	$16.00	$14.94	$20.81	$9.60	$20.18
Expense Structure	NNN	NNN	NNN	NNN	NNN	NNN
Lease Start	Oct 2025	Jun 2025	Mar 2025	May 2025	Feb 2023	Jan 2024

Analysis of the Comparables

These rentals are a good representation of the current local market and were examined to estimate the subject property's gross potential market rent. The rent comparables exhibit office/warehouses of varying sizes, some newer and some similar age/condition, and several locations. All the leases have been adjusted to or are triple net lease arrangements whereby property owners usually have structural repairs only.

Variable differences include net leasable area, land to building ratio, age/condition, amenities, office ratio and location. The rates are not very consistent. The subject's effective age was determined based on appraisal inspection. Only Rental No. 5 is an older building. Rental No. 's 5 is the closest in size and age to the subject. The highest rate is Rental No. 4 which is a new building with the most hoisting capacity. The subject is commanding a rent similar to this rent rate even though the subject

is much older. For purposes of the rental analysis, the market rent rate is determined based on these leased buildings which are the best ones available with verified data. The lowest rate is for the oldest property which is slightly larger than the subject.

Market Conditions over the last few years seem to reflect an increase in rental rates. The lease start dates of each of the rent comparables is adjusted to the current date. Several paired analyses for rent rates were examined and a rate of and we see a similar increase year over year as we saw in the sales approach. Overall however, there has been a slight increase. The overall adjustments for the lease start date reflect 6% per year or 0.5% per month. Rates are displayed by portion of years in the chart below.

Using the comparable rates there is a **location** adjustment for those deemed to be in slightly superior locations on Interstate 20. The other locations like the subject are on secondary streets.

Another difference in lease rates as shown in the rental chart above is the **age/condition factor**. Pairing older buildings lease rates in the appraiser's files with the newer building lease rates there is an indicated ~ 15% difference. Other analysis from both paired analyses and grouped analysis finds this to be an applicable adjustment. Sales No. 3 & 5 are considered similar to the subject and are not adjusted for this factor.

Rentable **square footage** tends to follow the same pattern as the sales with price going up as size goes down. However, among this group of sales this does not hold true. It seems that the other factors like the year built, office percentage, location, hoisting or washbay amenities seem to have impacts on the price per square foot. Therefore only Sale No. 3 which is the only smaller sale is adjusted at a small 5%.

Subject **office percentage** is the smallest of any rental found. The closest office percentage was from Rental No. 7 which was added to be most similar to subject for this factor. It is difficult to parse adjustments between the superior office percentage, age/condition, wash bays and hoisting to get adjustments for each component. A higher office percentage typically commands a higher lease rate because the build-out costs and operating expenses for that office area are higher. Conversely, a predominantly warehouse property with minimal office typically leases at a lower rate. The subject has about 10.4% office area, which is modest. Where a comparable has a significantly higher office ratio, it is considered superior in that regard and warrants a negative adjustment. If it is materially lower, then an upward adjustment might be indicated.Rental No. 1-3 have the larger office

percentages and thus warrant a negative adjustment for this factor. Because of the current and previous use of the subject property as a machine shop, the hoist and a larger warehouse/shop percentage is more of an advantage. Therefore, the adjustment for the office percentage is not a large adjustment.

Wash Bay: A dedicated wash bay can be a valuable feature in certain oilfield or trucking-related operations, potentially pushing rents higher. If a comparable has a wash bay and the subject does not, that comparable is superior, justifying a downward adjustment.

Hoisting: Facilities outfitted with bridge cranes, hoists, or other heavy-lift capacity typically command a higher rent. The subject lacks a crane or hoisting system, so comparables that do have such equipment are somewhat superior. Thus, we apply a negative adjustment if the comparable has an installed crane or hoist.

The **land to building ratios** do not seem to be a factor in the varying lease rates. A higher land-to-building ratio can provide extra yard storage, truck maneuverability, or expansion potential. Often, industrial tenants with heavy equipment or yard needs place a premium on larger sites, especially if it helps with truck access and outside storage. Therefore, if a comparable features a materially larger ratio than the subject, it is generally superior (requiring a negative adjustment). If the comparable ratio is smaller, it is inferior, warranting an upward adjustment. However, the subject and all of the comparables had adequate room for truck maneuverability and yard storage. Therefore, no adjustments are made for this factor.

The discussed adjustments are indicated in the chart below.

RENTALS ADJUSTMENT CHART

	Subject	1	2	3	4	5
Address	**210 W 57th St**	**14661 W I-20 Odessa**	**14521 W I-20 Odessa**	**3901 N Stowe Odessa**	**5261 W Murphy St Odessa**	**10901 W County Rd 125 Odessa**
Condition	Average	Good	Good	Good	Good	Average
Rentable SF	14,868	17,760	18,000	10,040	19,032	15,000
Rent / SF / Year	$20.18	$16.89	$16.00	$14.94	$20.81	$9.60

LEASE ADJUSTMENTS

Expense Structure	NNN	NNN	NNN	NNN	NNN	NNN
		0%	0%	0%	0%	0%
		$16.89	$16.00	$14.94	$20.81	$9.60
Market Conditions (Elapsed Time)	Current	0.17	0.5	0.76	0.57	2.83
		1.0%	3.0%	4.6%	3.4%	17.0%
		$17.06	$16.48	$15.62	$21.52	$11.23

PROPERTY ADJUSTMENTS

Location	Good	Superior	Superior	Similar	Similar	Similar
		-5%	-5%	0%	0%	0%
Age / Condition	30 Average	Superior	Superior	Similar	Superior	Similar
		-15%	-15%	0%	-15%	0%
Rentable SF	14,868	17,760	18,000	10,040	19,032	15,000
		0%	0%	-5%	0%	0%
Office %	10.4%	32.4%	31.1%	20.8%	26.4%	23.3%
		-5%	-5%	0%	-5%	0%
Amenities	Hoisting	Wash Bay	Wash Bay	Hoisting	Hoisting, Wash Bay	Hoisting
		15%	15%	15%	0%	15%
Land / Bld Ratio	7.44	14.90	11.21	17.46	12.60	9.28
		0%	0%	0%	0%	0%
Total Adjustment		-10%	-10%	10%	-20%	15%
Adjusted Rent / SF		$15.36	$14.83	$17.18	$17.21	$12.91
Adjusted Mean $ / SF						$15.50
Adjusted Median $ / SF						$16.27
A value generally in-line with both the mean and median is well supported.						$15.90
Improvement Size (SF)						14,868
Potential Gross Rental Income - Market						$236,401

Indicated market values for rent per square foot are now charted in an ascending array.

Rental #	Indicated Market Value
5	$12.91
2	$14.83
1	$15.36
3	$17.18
4	$17.21
Mean	$15.50

Comparable Rentals Adjustments Summary

Utilizing local market data indicators and my analysis of these, a 10% vacancy rate will be used reflecting steady demand from energy, logistics, and manufacturing tenants.. All of these rentals are Triple Net (NNN) or adjusted to a NNN lease. Without adjustments to the rent comparables, a range of values are indicated between $9.60/SF/YR to $20.81/SF/YR NNN which is a large range. Using the applicable adjustments, a smaller range of values is found $12.91/SF/YR to $17.21/SF/YR.

The difficulty in this assessment is to determine a true market rent for the subject when the beginning rates are so extreme. For this reason, the rent rate for the subject property is called near the mean and the median based on the analysis. With the property variables taken into consideration, the potential gross income for the subject property is well supported at $15.90/SF/YR with a triple net lease arrangement. In spite of the variances in the available rentals, after adjustments have been made, the rate seems to be credible and reasonable.

However, the subject contract rent is higher than market rent. The subject benefits from an above-market lease due to included equipment. The value of this excess rent is considered personal property/business value and is excluded from the real property valuation.

INCOME APPROACH SCHEDULE

INCOME		
Potential Gross Income	14,868 SF @ $15.90 SF / Year	$ 236,401.20
Less: Vacancy & Collection Allowance	10%	$ (23,640.12)
		$ 212,761.08
Expenses		
Taxes	$11,371.09	
Insurance	$18,585.00	
Total Expenses		$ (29,956.09)
Net Operating Income		$182,804.99
Capitalization Rate		10.61%
Value Indication	Net Operating Income / Capitalization Rate	$1,722,152
Concluded Value		**$1,725,000**

OVERALL CAPITALIZATION RATES

The sales utilized in the Sales Comparison Analysis were analyzed in abstracting an overall capitalization rate. The indicated figures are exhibited as follows:

Sale #	Overall
3	9.59%
2	11.78%
4	11.21%
1	10.57%
5	9.92%
Mean	**10.61%**

Capitalization Rates Summary

The range of capitalization rates for the subject indicated by the estimated market rents in the Sales Comparison Approach pro forma analysis is a fairly close range specifically 9.59% - 11.78%. The Permian Basin Area is considered a tertiary market and no official reports are done by any of the National Cap Rate statisticians. Therefore, the best information available along with the analysis by appraiser of sales with estimated cap rates based on reasonable market rents based on a rental survey, an overall rate of approximately 10.61% for the subject is considered reasonable as it is near the most predominant rate.

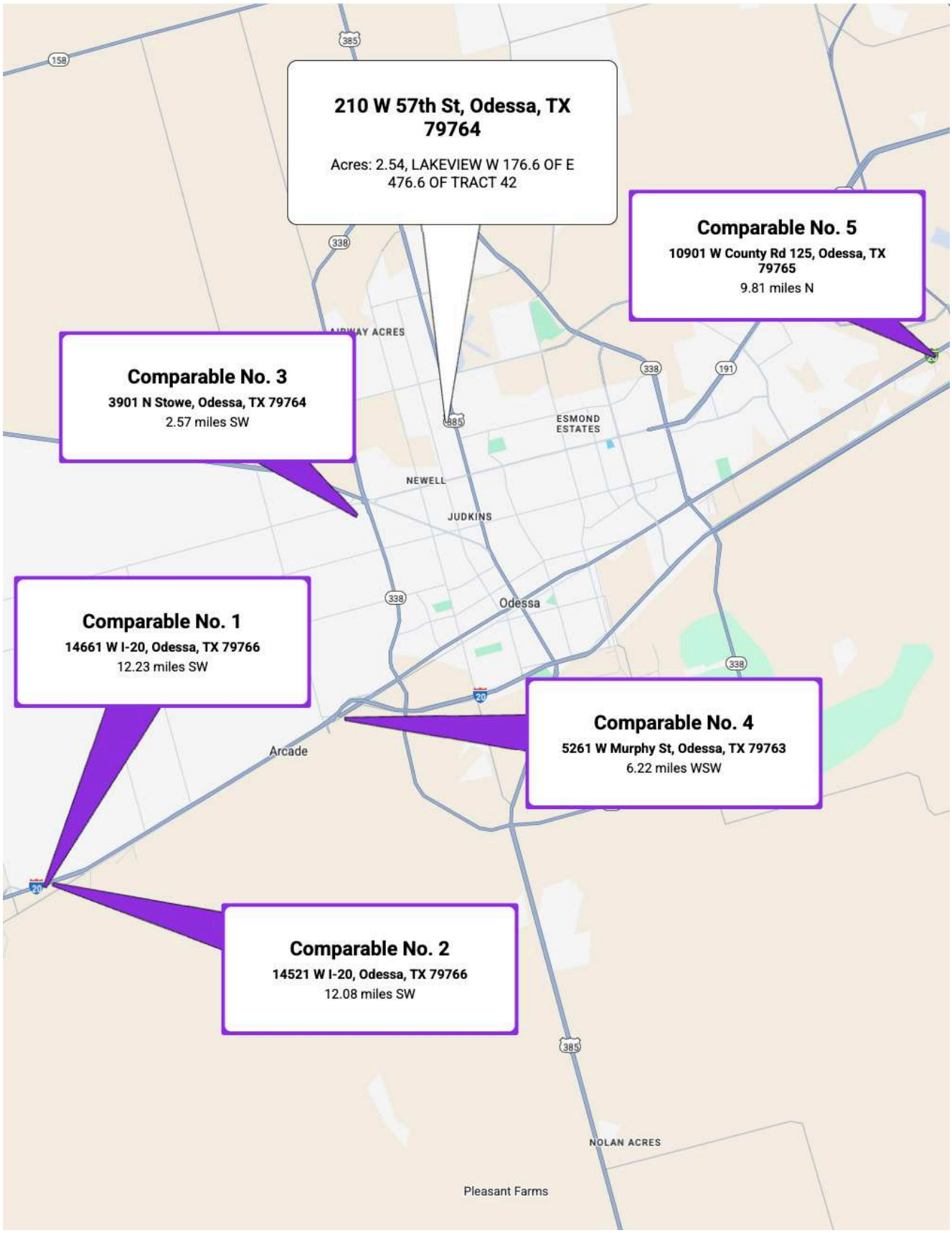
EXPENSE VERIFICATION

Vacancy and Collection Loss - Depending on location, use potential, and various other factors this commercial market normally exhibits a vacancy and collection allowance of 0% - 20. The vacancy allowance considered applicable to the subject is called 10%.

Mgt./Administrative - Professional management firms normally charge a percentage, typically 5% - 10%, of effective gross income (EGI) varying according to the nature of the property. Owners/managers' report a willingness or an allowance for management cost of about 10% of obtainable gross income. This expense includes the actual management, miscellaneous automobile and office expenses, and minor legal and audit expenses. However, with the current use of the building, the taxes and insurance costs associated with the building are the more applicable expenses to account for in the assessment for this factor. Therefore, the current taxes and typical insurance paid is utilized.

Reserves - In this market with the NNN or absolute net lease structure (used interchangeably here) which are common for this type of office space, no reserves are deducted in the income approach.

Rentals Map


210 W 57th St, Odessa, TX 79764
Acres: 2.54, LAKEVIEW W 176.6 OF E 476.6 OF TRACT 42
Comparable No. 5
10901 W County Rd 125, Odessa, TX 79765
9.81 miles N
Comparable No. 3
3901 N Stowe, Odessa, TX 79764
2.57 miles SW
Comparable No. 1
14661 W I-20, Odessa, TX 79766
12.23 miles SW
Comparable No. 4
5261 W Murphy St, Odessa, TX 79763
6.22 miles WSW
Comparable No. 2
14521 W I-20, Odessa, TX 79766
12.08 miles SW
AIRWAY ACRES
ESMOND ESTATES
NEWELL
JUDKINS
Odessa
Arcade
NOLAN ACRES
Pleasant Farms

RECONCILIATION

RECONCILIATION AND FINAL VALUE ESTIMATE

In appraising the subject property, the Sales Comparison Approach to value was developed and reported for the land only to use in the Cost Approach to Value and for the whole property. The values derived from this methodology is summarized as follows:

Valuation Approach	Indicated Value
Cost	$1,783,000
Sales Comparison	$880,000
Income	$1,725,000

The **Cost Approach** was developed and utilized. This approach to value is typically used for proposed or new properties with improvements. The Cost Approach is only developed to show the cost to build a similar property and shows a depreciated price. However, depreciation for older properties is difficult at best and typically is not applicable for older properties. However, the appraiser does see a slight applicability to form the opinion of value due to it specifically including the hoist and the best land valuation available for the subject property. Therefore, it was developed but given only slight weight (10%) in the final indication of value.

The **Sales Comparison Approach** was utilized and is the most significant and applicable analysis for the subject property. This approach provides the most direct reflection of the market by analyzing the actions of willing buyers and sellers of similar industrial properties. Market data was available to develop a reliable and well-supported value conclusion through this method. However, as stated above, due to Texas being a non-disclosure state, all sales data is not available to the appraiser as private parties are not compelled legally to share sales prices. Therefore, the appraiser finds it prudent to develop all value approaches.

The **Income Approach** was also developed due to the property being leased. As a result of the property being leased, the property rights appraised must be leased fee. With that said, since the purpose of the appraisal is to find a market value to possibly sell the property, the income approach is given 25% weight in the final value indication.

After a thorough analysis of all available data, the Sales Comparison Approach is deemed the most reliable indicator of value for the subject property since the purpose of the appraisal is to find a value to possibly sell the property to the current tenant. Therefore, it is given the most weight (65%)in the final analysis.

Cost Approach			
Indicated Value			$ 1,783,000.00
Sales Approach			
Indicated Value			$ 880,000.00
Income Approach			
Indicated Value			$ 1,725,000.00
Weights			
		Cost	10%
		Sales	65%
		Income	25%
Value Indication	Applying reductions and weights accordingly		$1,181,550
Concluded Value			**$1,182,000**

As shown above the range of value for the subject property is very wide, $880,000 to $1,783,000. After weighing each of the approaches to value and the applicability of each, the appraiser assigned weights accordingly. Based on the data used and the reasoning employed, the appraiser's opinion of the final value is considered credible and reasonable for the current market.

ONE MILLION ONE HUNDRED EIGHTY-TWO THOUSAND DOLLARS

($1,182,000 R)

CERTIFICATION OF VALUE

We certify that, to the best of our knowledge and belief:

The statements of fact contained in this report are true and correct.

The reported analyses, opinions and conclusions are limited only by the reported limiting conditions and assumptions and are my personal, unbiased professional analyses, opinions and conclusions.

We have no present or prospective interest in the property that is the subject of this report and have no personal interest or bias with respect to the parties involved.

Our compensation is not contingent upon the reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value estimate, the attainment of a stipulated result, or the occurrence of a subsequent event.

Our analyses, opinions and conclusions were developed, and this report has been prepared, in conformity with the Uniform Standards of Professional Appraisal Practice ("USPAP") adopted by the Appraisal Standards Board of the Appraisal Foundation, except that the departure provision of the USPAP shall not apply to federally related transactions.

The use of this report is subject to the requirement of the Appraisal Institute relating to review by its duly authorized representatives.

We have made a cursory personal inspection of the property that is the subject of this report, as well as an exterior inspection of the market comparables listed. The appraiser is not a land, commercial building, or home inspector and this appraisal report is not an inspection, the appraiser only performed a visual observation of accessible areas and the appraisal report cannot be relied upon to disclose conditions and/ or defects in the property.

Doug Lasater (Appraiser Trainee #: TX 1343993-T 11/30/2026 expiration) provided significant professional assistance to the persons signing or acknowledged by this report. The assistance consisted of measuring, appraisal inspection, data entry, photography, making maps, organizing the work file and other basic assistance.

We currently hold an appropriate state certification allowing the performance of

real estate appraisals in connection with federally related transactions in the state in which the subject property is located.

The “Estimate of Market Value” in the appraisal report is not based in whole or in part upon the race, color, or national origin of the prospective owners or occupants of the properties in the vicinity of the property appraised.

This appraisal assignment was not based on a requested minimum valuation, a specific valuation, or the approval of a loan.

We have not performed appraisal services regarding the property that is the subject of this report within the three-year period immediately preceding acceptance of this assignment.

Sincerely,

Deanna Peden

Deanna Peden
State Certified General
Real Estate Appraiser
No. TX-1338135-G

ADDENDA

APPRAISER CERTIFICATION

TALCB

TEXAS APPRAISER LICENSING & CERTIFICATION BOARD

Certified General Real Estate Appraiser

Appraiser: DEANNAHYSON PEDEN

License #: 1338135-CG **License Expires: 09/30/2026**

Having provided satisfactory evidence of the qualifications required by the Texas Appraiser Licensing and Certification Act, Occupations Code, Chapter 1103, authorization is granted to use this title:
Certified General Real Estate Appraiser

For additional information or to file a complaint please contact TALCB at www.talcb.texas.gov.

Chelsea Buchholtz
Executive Director

E&O INSURANCE

Accelerant National Insurance Company
(A Stock Company)
400 Northridge Road, Suite 800
Sandy Springs, GA 30350

REAL ESTATE PROFESSIONAL
ERRORS AND OMISSIONS INSURANCE POLICY
DECLARATIONS

NOTICE: THIS IS A "CLAIMS MADE AND REPORTED" POLICY. THIS POLICY REQUIRES THAT A CLAIM BE MADE AGAINST THE INSURED DURING THE POLICY PERIOD AND REPORTED TO THE INSURER, IN WRITING, DURING THE POLICY PERIOD OR EXTENDED REPORTING PERIOD.

DEFENSE COSTS WITHIN LIMITS

THIS POLICY CONTAINS PROVISIONS WHICH LIMIT THE AMOUNT OF CLAIM EXPENSES THE INSURER IS RESPONSIBLE TO PAY IN CONNECTION WITH CLAIMS. CLAIM EXPENSES SHALL BE SUBJECT TO ANY DEDUCTIBLE AMOUNT. THE PAYMENT OF CLAIM EXPENSES WILL REDUCE THE LIMITS OF LIABILITY STATED IN ITEM 4. OF THE DECLARATIONS.

PLEASE READ YOUR POLICY CAREFULLY.

Policy Number: NRE40PL100620-02 **Renewal of:** NRE40PL100620-01

1. **Named Insured:** Basin Appraisals, LLC
2. **Address:** 3106 San Jose Drive
   Odessa, TX 79765
3. **Policy Period:** **From: August 20, 2025** **To: August 20, 2026**
   12:01 A.M. Standard Time at the address of the **Named Insured** as stated in item **2.** Above.
4. **Limit of Liability:**
   A. Each **Claim** Limit of Liability **$ 1,000,000.00**
   B. Policy Aggregate Limit of Liability **$ 1,000,000.00**
5. **Deductible:** **$ 5,000.00** Each **Claim**
6. **Policy Premium:** **$ 823.00**
7. **Retroactive Date: August 20, 2016**
8. **Notice to Company:** Notice of a **Claim** or Potential **Claim** should be sent to:
   OREP Insurance Services: info@orep.org
   6353 El Cajon Blvd, Suite 124-605
   San Diego, CA 92115
9. **Program Administrator:** OREP Insurance Services, LLC – info@orep.org
10. **Forms and Endorsements Attached at Policy Inception:** See Schedule of Forms

If required by state law, this policy will be countersigned by an authorized representative of the Company.

Date: July 22, 2025 By: Isaac Peck
Authorized Representative

N DEC 40002 04 22 Page 1 of 1